Issuer memos: one analyst, four groups of methods

FundamentalQuantmental HY Analyst: one memo per company, written by the process

Data as known on 2026-09-18

How these memos are made. One analyst runs every company through four groups of methods. Group 1 is the core process: Gatto's seven steps, our method, our rulebook and the relative value paper. Group 2 is the set of methods we built: the two clocks, the fair line and the pair, the economic stories, the gate and the health panel. Group 3 applies the lender's checklists (the credit skills) where public filings allow. Group 4 applies two books: Kricheff, and Ganguin and Bilardello (S&P). Each group gives its own estimate of expected profit above a hedge, in bp a year. The combined estimate weighs five buckets as the user set them (core process 40.0%, two clocks 20.0%, built methods (rest) 18.0%, credit skills 5.0%, books and peers 17.0%) and pays trading costs once. Each step is done, partial (it ran but needs an analyst input), or blocked. Missing inputs appear as open questions.

All issuers, ranked by the combined view

The combined column is after trading costs; the five bucket columns (with their weights) are before costs, in bp a year. "Cases" is the weighted cases and stories after costs. "Best alt." is the position the same money would rather hold (cash when nothing in the run beats it). **Alpha sizes are uncalibrated**: in the backtest, realised alpha was about 0.08 times the predicted alpha, so "Calibrated" multiplies the combined number by that slope (decision page 2026-10-22-alpha-backtest-design). The slope is not significant, so the numbers rank the issuers but do not size positions.

Rank	Issuer	Combined	Calibrated	G1 (40%)	G2 clocks (20%)	G2 rest (18%)	G3 (5%)	G4 (17%)	Cases	Best alt.	Gate
1	CRWV	**-9**	-1	+246	-309	+426	-215	+220	+213	NCLH	Watch
2	THC	**-111**	-9	+22	+183	+60	+0	+41	-103	NCLH	Pass
3	CCL	**-126**	-10	+72	+88	+16	+0	-8	-116	NCLH	Pass
4	NCLH	**-162**	-13	-58	+102	+62	-215	+52	-100	CCL	Pass
5	HCA	**-169**	-13	+47	+197	-82	+0	-210	-231	NCLH	Pass
6	ORCL	**-195**	-15	+92	-158	-88	-215	-3	-173	NCLH	Pass
7	MGM	**-196**	-15	-4	-108	-86	+0	+88	-395	NCLH	Pass
8	WYNN	**-214**	-17	-22	+4	-58	+0	-141	-336	NCLH	Pass

What each part of a memo answers

Memo part	What it answers	Where it comes from
Top	The call and the combined view of the four groups	Methodology 8; F10, F12.1; decision 2026-10-22-four-group-combination
G1	The business, earnings, cash, debt, value, the funding gap, the refinancing shock, the decision against cash	Gatto steps 1-7; M4.1-4.3, M6, M7.5; F2-F5, F7; RV PDF (hyrv mapping items 1-4; C2, C3)
G2	The two clocks, the stories and cases, relative value and the pair, expected profit, the gate, the health panel	M4.7, M5.1-5.4, M7.4-7.5; F6, F8, F9, F10 S4
G3	Add-backs, the FCF check, covenant headroom, watchlist, trajectory, memo structure	hy-model-standards; ebitda-addback-treatment; covenant-compliance; borrower-monitoring; credit-memo-standards
G4	Kricheff's cash bridge, ratio set, snapshot and spread per turn; the S&P profiles and anchor	Kricheff ch. 9, 10, 21, 24; Ganguin and Bilardello ch. 2-5, 10, App. E
End	Coming events, open questions, the record	F11, F12

Which steps ran

D done, **P** partial (ran; needs an analyst input), **B** blocked.

	Load the data	Describe the business	Check the earnings	Cash and debt due	Debt, ratios, covenants	Bills against contracts	Economic stories	Company value	Compare with peers	Compare the pair	Expected profit	Price against our view	Events and watchlist	Health check panel	Combined view	Size calibration	Decision against cash
CRWV	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
ORCL	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
HCA	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
THC	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
CCL	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
NCLH	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
MGM	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P
WYNN	D	P	P	P	P	D	P	P	P	D	P	P	P	D	P	P	P

The economic stories used in every memo

Probabilities combine economists' forecasts (Philadelphia Fed survey, Fed projections, Treasury market) with the stage of the cycle (expansion).

Story	Chance	GDP growth	Fed rate in 2 years	High yield spread (bp)
soft landing	86%	2.5%	3.9%	142
recession	2%	-0.0%	2.6%	369
higher for longer	8%	2.2%	5.5%	168
disinflation rally	4%	2.8%	2.1%	110
stagflation	0%	-0.1%	4.4%	376

Words used

Spread The extra yield a bond pays over a US Treasury of the same maturity. More risk, more spread.

bp (basis point) One hundredth of a percent. 100 bp = 1%.

EBITDA Yearly earnings before interest, tax, depreciation and amortisation: the cash the business makes before paying lenders.

EBITDAR EBITDA before rent. Used when rent is one of the bills.

Add-back A cost the company takes out of its own earnings figure because it calls the cost a one-off.

Leverage Debt divided by yearly earnings. With leases: (debt + leases) / (EBITDA + rent). 3x means three years of earnings.

Coverage How many times earnings (after capital spending, where stated) pay the interest bill.

Liquidity Cash plus unused credit lines, less the cash the business needs to run.

Funding gap Liquidity plus free cash flow, less the debt that falls due, quarter by quarter, if no lender refinances. Below zero, the company needs new money.

Refinancing shock The extra yearly interest when debt that falls due is refinanced at today's rates and spread.

Covenant headroom How far earnings (or cash) can fall before a loan test is broken.

Watchlist The lender's list of borrowers to watch: watch closely, watchlist, or workout.

Two clocks One clock counts the bills (rent, debt, interest) the company owes each year; the other counts the revenue customers have signed for. When the bills outlast the contracts, bondholders bet on renewals.

Fair spread The spread a company with this leverage pays, read off a line fitted across the companies in the run.

Economic story One of five views of the next two years, each with a probability from economists' forecasts and the stage of the cycle.

Breakeven default probability The yearly default rate at which the spread only pays for the loss in default. Our default chance below it favours the bond.

Loss on price What a holder loses in default per unit paid for the bond: price less the recovery, with the recovery discounted for the wait.

Expected profit (alpha) What the bond should earn above a hedge, after expected default losses; in bp a year.

Decision against cash The same money in the bond or in cash for six months, across every story and the default case.

Spread per turn The spread divided by leverage: bp paid for each year of earnings the debt represents.

S&P risk score A 1 (safest) to 10 (default) score that blends business risk and financial risk; it maps to a rating class.

Open question A number the data cannot give. An analyst must find it before the memo becomes a call.

CoreWeave (CRWV)

Recommendation. Watch. The bond looks cheap by more than the model's noise, every check points the same way, and the expected profit beats trading costs. Before it becomes a trade, an analyst must name a dated event that would close the gap and the level that would prove the view wrong. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 1 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+246	40%	+99	supports owning
G2 clocks. Two clocks	-309	20%	-62	against owning
G2 rest. Built methods (rest)	+426	18%	+77	supports owning
G3. Credit skills	-215	5%	-11	against owning
G4. Books and peers	+220	17%	+37	supports owning
Combined, before trading costs			**+140**	
Trading costs			-149	
Combined, after trading costs			**-9**	
Weighted cases and stories alone, after costs			+213	
Calibrated: after-cost number x measured slope 0.079			-1	

Against the weighted cases and stories alone, the combination is 223 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -1 bp a year after costs (-2 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: supports owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +246 bp a year before trading costs (costs are 149 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 1 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	+120	0%	+0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	-326	25%	-82	F4; RV PDF E75-E76
Debt against market value	+23	25%	+6	F7.7
Return above cash, repriced in every story	+1,289	25%	+322	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 739 bp over Treasuries at 5 years. A company with its leverage (8.9x with leases) pays 574 bp on the fair line, so the bond is cheap by 165 bp. The bills outlast the signed contracts (section G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** CoreWeave is The Essential Cloud for AITM, purpose-built to accelerate breakthroughs by AI pioneers, from leading research labs to enterprises fueling business growth. Our CoreWeave Cloud platform enables the full lifecycle of AI, including large-scale model training, inference, data movement, continuous iteration, and agentic workflows.
2. **How it earns:** revenue 7.6bn a year at a 50% EBITDA margin.
3. **What it must spend to stand still:** rent of about $2.1bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** contracts roll off or churn; the asset value cycle turns; the largest customer is 36% of revenue.

Business type: A5; flags: M3 concentration.

G1.3 Earnings, normalised

Last 12 months: EBITDA $3.8bn at a 50% margin; margin trend over 8 quarters -1.6 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.0bn. Free cash flow $-13.7bn: -363% of EBITDA. Earnings-quality flags raised: EQ7 conversion, FCF check (waterfall against OCF less capex) (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$7.0bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$7.0bn
Runway at today's cash burn, all capital spending (quarters)	2.0
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	2
Runway we quote (the shortest)	**2.0** (severe, committed capex)
Debt due in the next 18 months	$10.6bn
Cash to meet debt due in a year, base case	1.29x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.4bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$-5.4bn
First quarter below zero, likely story	quarter 6
Lowest point with all capital spending	$-45.4bn
First quarter below zero with all capital spending	quarter 2
Lowest point, severe case	$-9.0bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$-5.4bn
Debt due inside 8 quarters, share of all debt	30%

Refinancing shock. $10.6bn falls due in the next two years. It pays about 3.97% today (derived cash interest rate (LTM interest / debt)). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.9bn (23.8% of EBITDA). Interest cover after refinancing: 1.7x; after capital spending -7.6x. Free cash flow after the shock: -40.9% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$35.6bn
Lease liabilities	$16.5bn
EBITDA, last 12 months	$3.8bn
Debt / EBITDA	9.4x
(Debt + leases) / (EBITDA + rent)	8.9x
Net debt / EBITDA	8.0x
Coverage (after all capital spending)	-12.8x
Fixed-charge cover (after maintenance spending)	0.54x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
21873SAB4	9.25%	2030-06-01	93.7	11.37%	661
21873SAC2	9.00%	2031-02-01	90.3	11.91%	714
21873SAG3	9.75%	2031-10-01	89.8	12.54%	776
21873SAK4	9.63%	2032-07-15	88.8	12.36%	755

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $85bn (shares $55bn plus net debt): 22.6x EBITDA; debt is 42% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (21873SAG3, 9.75% due 2031-10-01, price 89.79 plus 4.51 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 63% of the price paid.

Measure	Value
Expected return above cash, bp a year	+1,289
Chance of a loss over six months	4.0%
Chance of doing worse than cash	4.0%
Average loss in the worst 5% of outcomes	30.6%
Same, with rates and the market hedged out, bp a year	+613
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	-842

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: supports owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +426 bp a year before trading costs (costs are 149 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 1 of the issuers on this group alone. Gate: watch.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	+571	42%	+238	Spec S14 E0; K15
Weighted cases and stories	+363	25%	+91	M5.4, M7.5
Spread against the fair line	+342	17%	+57	M7.4, M7.5
The pair	+776	8%	+65	M7.4; F10 S4
Health panel	-295	8%	-25	F8

G2.1 The two clocks: bills against what pays for them

Verdict: against owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is -309 bp a year before trading costs (costs are 149 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 8 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	-309	100%	-309	M4.7

Fixed bills total $106.4bn, centred 5.5 years out: leases in force $29.4bn, signed leases not yet started $35.5bn, debt principal $35.6bn, interest $4.7bn, purchase commitments $1.2bn. That is 18.2 years of today's EBITDAR; next year's bills take 206% of it.

Measure	Value
Signed contracts (RPO)	$103.7bn
Where bills centre / where contract cash centres	year 5.5 / year 2.6
Contracts 99% booked by	year 7
Margin needed for contracts to pay every bill	over 100% (no margin is enough)
Company margin (EBITDAR)	77%
Share of bills paid by contracts at that margin	75%
Bills due after the contracts end	$32.6bn (31%)
of which debt to refinance	$0.0bn (0%)
of which rent and purchases to recontract	$32.6bn (31%)
Revenue to sign after the contracts end	4.1 years of today's revenue
Largest running shortfall	$26.7bn
Top three customers	72%
Top customer stops paying	contracts pay 48%; shortfall $55.4bn
With excluded lease	contracts pay 66%; shortfall $41.4bn
Share paid by contracts at a 0.20 margin	20%
Share paid by contracts at a 0.35 margin	34%
Share paid by contracts at a 0.50 margin	49%
Share paid by contracts at a 0.77 margin	75%

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	8.0%	5.6x	8.0x	$5.6bn	no	no
down moderate	11%	8.4%	6.6x	8.6x	$4.7bn	no	no
down severe	4%	8.3%	9.3x	9.3x	$2.0bn	no	no
upside	21%	8.3%	4.9x	7.4x	$6.5bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	5.7x	9.3x	0%	4.0%	348
recession	2%	6.0x	9.9x	100%	10.0%	919
higher for longer	8%	5.8x	9.3x	0%	4.7%	414
disinflation rally	4%	5.7x	9.3x	0%	3.1%	270
stagflation	0%	6.1x	9.9x	100%	10.2%	935

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 739 bp against a fair 574 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Information Technology. Rating class: CCC (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	+78%	+276%
Sector only	+447%	+103%
Rating only	+169%	+227%

SPiDER: No SPiDER: fewer than 6 annual EBITDA figures, a financial issuer, or non-positive sustainable EBITDA. **OneScore** (Dynkin et al. 2021, ch. 19): 64% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 92%) and the stock's 3-month return (-22.5%, rank 35%). It has no weight in the score. **Against ORCL.** Spreads at 5 years: CRWV 739 bp, ORCL 136 bp.

Spread per	CRWV	ORCL	Cheaper
turn of leverage	83	32	CRWV
year of EBITDA that depends on renewal	85	23	CRWV
unit of breakeven margin	721	165	CRWV
year of clock gap	257	28	CRWV

The fair line favours long CRWV, short ORCL: a gap of 159 bp, which halves in about 17 weeks on six months of trades. Under the stories the pair earns soft landing +348, recession +918, higher for longer +414, disinflation rally +270, stagflation +935 bp a year; weighted +363 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 363 bp a year before trading costs, 213 bp after. It beats costs. The expected default loss is charged on the price paid: 63% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	6.0%	4.1%	-1.9%	open	not tested
Breakeven default probability, 12 months (loss on price)	11.7%	4.1%	-7.6%	5.9%	yes
Leverage the spread is pricing	9.75	8.94	-0.81	0.90	no
Spread against fair (bp)	739	574	-165	160	yes
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Earnings after capital spending do not cover interest. Tracked by: coverage (-12.79). Resolves when: capital spending falls, or earnings rise.
- Earnings do not cover interest plus rent. Tracked by: fixed-charge cover (0.54). Resolves when: earnings rise or rent falls.
- Little of the earnings turns into free cash. Tracked by: cash conversion (fcf / ebitda) (-3.63). Resolves when: growth spending ends.

- Free cash flow repays little debt. Tracked by: free cash flow / debt (-0.38). Resolves when: free cash flow turns positive.
- Margins are falling. Tracked by: margin trend (t-statistic) (-1.61). Resolves when: two quarters of stable margins.

Measure	Value	Band
Coverage	-12.79	red
Fixed-charge cover	0.54	red
Cash conversion (FCF / EBITDA)	-3.63	red
Free cash flow / debt	-0.38	red
Margin trend (t-statistic)	-1.61	red
Cash to meet debt due in 1 year (base case)	1.29	amber
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	2.00	amber
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.04	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: against owning. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is -215 bp a year before trading costs (costs are 149 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 6 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: watchlist.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	-215	100%	-215	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $3.7bn. The company's own measure adds back $0.0bn of one-off items to reach $3.8bn: 0.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $-13.7bn. The two roads to free cash flow (the EBITDA bridge, $-16.3bn; operating cash flow less capital spending, $-13.7bn) differ by 71% of EBITDA: above the 10% tolerance, so an earnings-quality flag is raised. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **watchlist** because free cash flow is negative. EBITDA against the same months a year earlier: 100.8% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	112.3%
EBITDA	improving	trend	121.2%
EBITDA margin	improving	data point	4.2%
cash conversion	open	no data	n/a

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	open
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: supports owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is +220 bp a year before trading costs (costs are 149 bp a year); 2 of 3 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 1 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+246	18%	+44	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+0	18%	+0	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	+273	64%	+176	Dynkin et al. ch. 13

No estimate (data missing): spider: spread per unit of debt to 10-year ebitda.

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$3.8bn
less capital spending	$20.6bn
less cash interest	$1.3bn
less cash taxes	$0.0bn
less increase in working capital	$-1.8bn
Free cash flow	**$-16.3bn**
Check: free cash flow before capital spending less operating cash flow	$-2.7bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	2.9x	Debt / EBITDA	9.4x
(EBITDA − capex) / interest	-12.8x	Net debt / EBITDA	7.6x
(EBITDA − maintenance capex) / interest	-0.2x	Free cash flow / debt	-38.0%
EBITDA / debt (highest rate at 1x cover)	11.0%	Market value / EBITDA	22.2x
Equity cushion (1 − debt / market value)	57%	Spread per turn of leverage	78 bp

Kricheff's snapshot rule: operating cash flow does not cover capital spending, so the issuer lives on the capital markets and needs the detailed liquidity work of section G1.4. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	49%	5.9	57.5%	78.5%
Funds from operations / debt	10%	9.6	19.5%	10.8%
Free operating cash flow / debt	-26%	10.0	8.5%	2.5%
EBITDA / interest (with lease interest)	1.8x	9.5	3.2x	1.8x
EBITDA margin	50%	3.0		

Financial risk score 8.1. Business risk score 5.8: industry 5, steadiness of sales 5 (year-on-year growth varies by 11.2%), customer spread 8. The book puts 45% of the weight on business risk for this class, so the default risk score is 7.0: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

Coming events, open questions, and the record

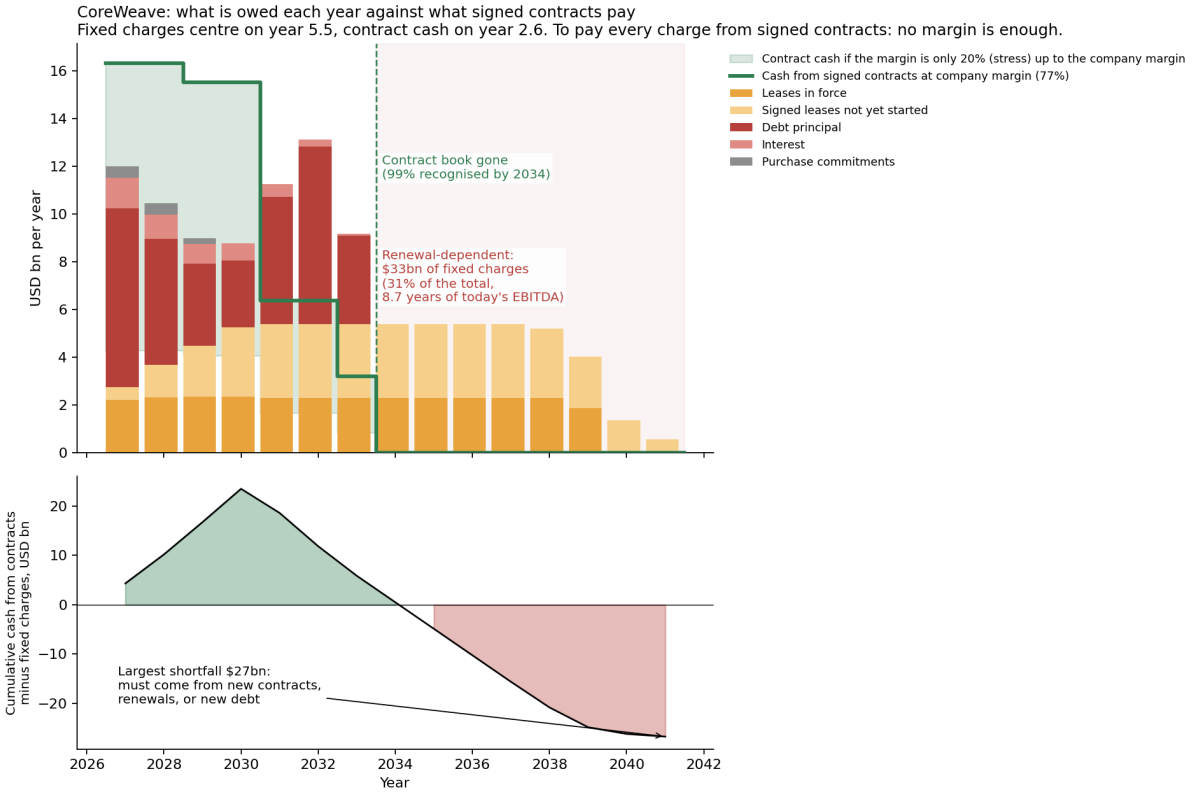
- Next quarterly results (estimated from filing cadence): 2026-11-11 (estimate).
- Debt due by 0.5 years out: - $4.4bn.

Open questions, most important first:

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).

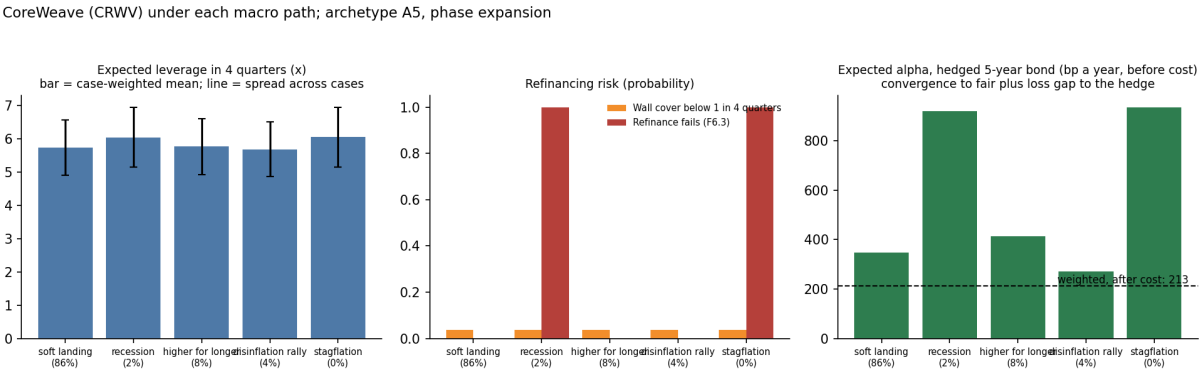
6. The funding gap opens only because no revolver capacity is tagged: read the credit facility note before using the gap.
7. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
8. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
9. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
10. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



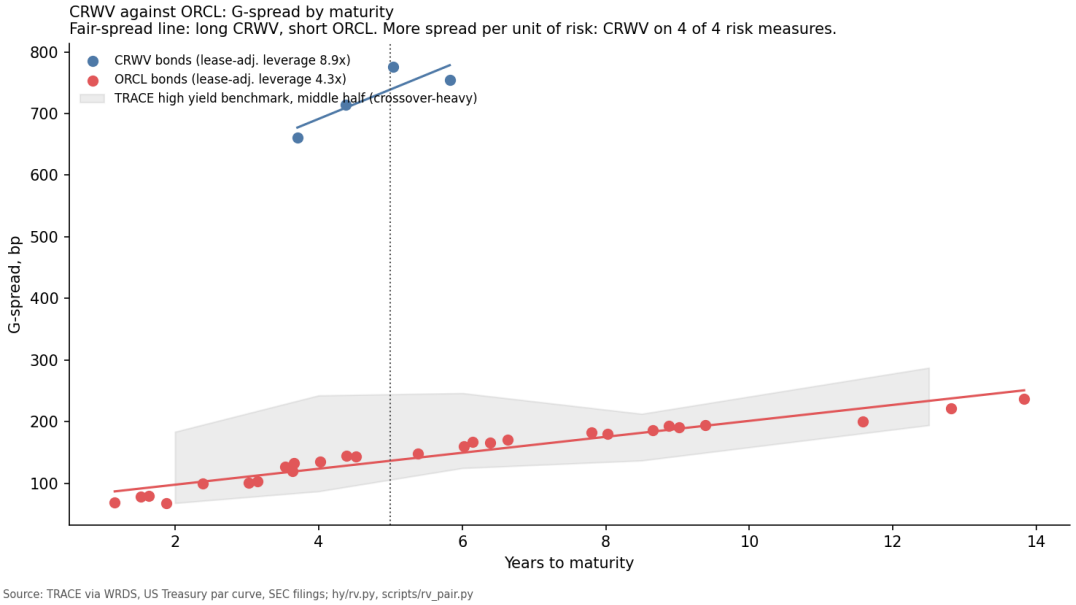
Source: CoreWeave SEC filings as of 2026-06-30 (XBRL), hy/clocks.py. Assumptions listed in the write-up.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Oracle (ORCL)

Recommendation. Pass. This is a view of the company, not a trade: the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 6 of the issuers in this run. 4 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+92	40%	+37	leans to owning
G2 clocks. Two clocks	-158	20%	-32	against owning
G2 rest. Built methods (rest)	-88	18%	-16	against owning
G3. Credit skills	-215	5%	-11	against owning
G4. Books and peers	-3	17%	-1	against owning
Combined, before trading costs			**-22**	
Trading costs			-173	
Combined, after trading costs			**-195**	
Weighted cases and stories alone, after costs			-173	
Calibrated: after-cost number x measured slope 0.079			-15	

Against the weighted cases and stories alone, the combination is 22 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -15 bp a year after costs (-49 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +92 bp a year before trading costs (costs are 173 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 2 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	+6	0%	+0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	-167	25%	-42	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+96	25%	+24	F4; RV PDF E75-E76
Debt against market value	+297	25%	+74	F7.7
Return above cash, repriced in every story	+143	25%	+36	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 136 bp over Treasuries at 5 years. A company with its leverage (4.3x with leases) pays 135 bp on the fair line, so the bond is cheap by 1 bp. The bills outlast the signed contracts (section

G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** Oracle provides products and services that build, run and support enterprise information technology (IT) frameworks. Our products and services include enterprise applications and infrastructure offerings that incorporate and are enhanced by artificial intelligence (AI) technologies, including embedded AI-driven automation and analytics and generative AI capabilities.
2. **How it earns:** revenue 71.8bn a year at a 47% EBITDA margin.
3. **What it must spend to stand still:** rent of about $5.5bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** net retention and bookings fall; cost cuts reverse.

Business type: A6.

G1.3 Earnings, normalised

Last 12 months: EBITDA $33.9bn at a 47% margin; margin trend over 8 quarters 3.8 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.6bn. Free cash flow $-28.7bn: -85% of EBITDA. Earnings-quality flags raised: EQ7 conversion, EQ5 recurrence, FCF check (waterfall against OCF less capex) (of 5 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$37.0bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.4bn
Liquidity	$36.6bn
Runway at today's cash burn, all capital spending (quarters)	5.1
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	2
Runway we quote (the shortest)	**2.0** (severe, committed capex)
Debt due in the next 18 months	$7.2bn
Cash to meet debt due in a year, base case	7.34x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($3.2bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$37.2bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$-148.7bn
First quarter below zero with all capital spending	quarter 2
Lowest point, severe case	$35.1bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$37.2bn
Debt due inside 8 quarters, share of all debt	14%

Refinancing shock. $17.4bn falls due in the next two years. It pays about 3.71% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.5bn (1.4% of EBITDA). Interest cover after refinancing: 6.1x; after capital spending -7.5x. Free cash flow after the shock: -23.3% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$125.3bn
Lease liabilities	$43.8bn
EBITDA, last 12 months	$33.9bn
Debt / EBITDA	3.7x
(Debt + leases) / (EBITDA + rent)	4.3x
Net debt / EBITDA	2.6x
Coverage (after all capital spending)	-8.2x
Fixed-charge cover (after maintenance spending)	2.75x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
68389XBN4	3.25%	2027-11-15	97.9	5.13%	69
68389XCD5	2.30%	2028-03-25	95.6	5.32%	78
68389XCM5	4.50%	2028-05-06	98.6	5.37%	80
68389XCY9	4.80%	2028-08-03	99.1	5.32%	68
68389XDW2	4.55%	2029-02-04	97.5	5.69%	99
68389XCS2	4.20%	2029-09-27	95.7	5.76%	101

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $540bn (shares $451bn plus net debt): 15.9x EBITDA; debt is 23% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (68389XCZ6, 5.25% due 2032-02-03, price 95.37 plus 0.63 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 64% of the price paid.

Measure	Value
Expected return above cash, bp a year	+143
Chance of a loss over six months	9.2%
Chance of doing worse than cash	9.2%
Average loss in the worst 5% of outcomes	7.7%
Same, with rates and the market hedged out, bp a year	-10
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	+304

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -88 bp a year before trading costs (costs are 173 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 8 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-31	42%	-13	Spec S14 E0; K15
Weighted cases and stories	-0	25%	-0	M5.4, M7.5
Spread against the fair line	+3	17%	+1	M7.4, M7.5
The pair	-776	8%	-65	M7.4; F10 S4
Health panel	-130	8%	-11	F8

G2.1 The two clocks: bills against what pays for them

Verdict: against owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is -158 bp a year before trading costs (costs are 173 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 7 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	-158	100%	-158	M4.7

Fixed bills total $549.0bn, centred 8.2 years out: leases in force $63.2bn, signed leases not yet started $288.0bn, debt principal $130.1bn, interest $33.5bn, purchase commitments $34.1bn. That is 13.9 years of today's EBITDAR; next year's bills take 75% of it.

Measure	Value
Signed contracts (RPO)	$664.0bn
Where bills centre / where contract cash centres	year 8.2 / year 3.4
Contracts 99% booked by	year 10
Margin needed for contracts to pay every bill	83%
Company margin (EBITDAR)	55%
Share of bills paid by contracts at that margin	66%
Bills due after the contracts end	$203.8bn (37%)
of which debt to refinance	$46.4bn (8%)
of which rent and purchases to recontract	$157.4bn (29%)
Revenue to sign after the contracts end	4.8 years of today's revenue
Largest running shortfall	$184.8bn
Top three customers	n/a
Share paid by contracts at a 0.20 margin	24%
Share paid by contracts at a 0.35 margin	42%
Share paid by contracts at a 0.50 margin	60%
Share paid by contracts at a 0.55 margin	67%

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	60%	5.0%	3.0x	3.5x	$40.4bn	no	no
down moderate	15%	3.3%	3.2x	3.5x	$40.6bn	no	no
down severe	5%	2.3%	4.3x	4.3x	$39.1bn	no	no
upside	20%	6.6%	2.8x	3.4x	$40.3bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	3.1x	4.3x	0%	0.9%	-0
recession	2%	3.2x	4.4x	0%	2.4%	0
higher for longer	8%	3.1x	4.3x	0%	1.1%	-0
disinflation rally	4%	3.1x	4.2x	0%	0.7%	-0
stagflation	0%	3.2x	4.4x	0%	2.5%	0

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 136 bp against a fair 135 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Information Technology. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-5%	-12%
Sector only	-3%	-5%
Rating only	-5%	-12%

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 32% of the peer bonds across all sectors, and -40% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 42% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 69%) and the stock's 3-month return (-33.7%, rank 15%). It has no weight in the score. **Against CRWV.** Spreads at 5 years: CRWV 739 bp, ORCL 136 bp.

Spread per	CRWV	ORCL	Cheaper
turn of leverage	83	32	CRWV
year of EBITDA that depends on renewal	85	23	CRWV
unit of breakeven margin	721	165	CRWV
year of clock gap	257	28	CRWV

The fair line favours long CRWV, short ORCL: a gap of 159 bp, which halves in about 17 weeks on six months of trades. Under the stories the pair earns soft landing +348, recession +918, higher for longer +414, disinflation rally +270, stagflation +935 bp a year; weighted +363 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -0 bp a year before trading costs, -173 bp after. It does not beat costs. The expected default loss is charged on the price paid: 64% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.1%	1.0%	-0.1%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.1%	1.0%	-1.2%	1.1%	yes
Leverage the spread is pricing	4.33	4.30	-0.03	0.90	no
Spread against fair (bp)	136	135	-1	38	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Earnings after capital spending do not cover interest. Tracked by: coverage (-8.19). Resolves when: capital spending falls, or earnings rise.
- Little of the earnings turns into free cash. Tracked by: cash conversion (fcf / ebitda) (-0.85). Resolves when: growth spending ends.
- Free cash flow repays little debt. Tracked by: free cash flow / debt (-0.23). Resolves when: free cash flow turns positive.
- Earnings-quality flags are raised. Tracked by: earnings-quality flags (3.00). Resolves when: flags clear in the next two quarters.

Measure	Value	Band
Coverage	-8.19	red
Cash conversion (FCF / EBITDA)	-0.85	red
Free cash flow / debt	-0.23	red
Earnings-quality flags	3.00	red
Refinancing access score (0 to 6)	3.00	amber
Fixed-charge cover	2.75	green
Cash to meet debt due in 1 year (base case)	7.34	green
Margin trend (t-statistic)	3.77	green
Weight on the downside cases	0.20	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: against owning. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is -215 bp a year before trading costs (costs are 173 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 6 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: watchlist.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	-215	100%	-215	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $33.3bn. The company's own measure adds back $0.6bn of one-off items to reach $33.9bn: 1.7% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $-29.3bn. The two roads to free cash flow (the EBITDA bridge, $-49.4bn; operating cash flow less capital spending, $-28.7bn) differ by 61% of EBITDA: above the 10% tolerance, so an earnings-quality flag is raised. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **watchlist** because free cash flow is negative. EBITDA against the same months a year earlier: 38.3% (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	29.6%
EBITDA	improving	trend	53.1%
EBITDA margin	improving	trend	18.1%
cash conversion	deteriorating	observation	-873.5%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is -3 bp a year before trading costs (costs are 173 bp a year); 1 of 4 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 5 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	-31	15%	-5	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+0	15%	+0	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	+1	53%	+1	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	+3	18%	+1	Dynkin et al. ch. 14

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$33.9bn
less capital spending	$75.7bn
less cash interest	$5.1bn
less cash taxes	$2.8bn
less increase in working capital	$-0.3bn
Free cash flow	**$-49.4bn**
Check: free cash flow before capital spending less operating cash flow	$-20.7bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	6.6x	Debt / EBITDA	3.7x
(EBITDA − capex) / interest	-8.2x	Net debt / EBITDA	2.6x
(EBITDA − maintenance capex) / interest	4.6x	Free cash flow / debt	-23.0%
EBITDA / debt (highest rate at 1x cover)	27.0%	Market value / EBITDA	15.9x
Equity cushion (1 − debt / market value)	77%	Spread per turn of leverage	37 bp

Kricheff's snapshot rule: operating cash flow does not cover capital spending, so the issuer lives on the capital markets and needs the detailed liquidity work of section G1.4. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	27%	1.2	57.5%	78.5%
Funds from operations / debt	28%	6.1	19.5%	10.8%
Free operating cash flow / debt	-17%	10.0	8.5%	2.5%
EBITDA / interest (with lease interest)	4.0x	6.8	3.2x	1.8x
EBITDA margin	47%	3.0		

Financial risk score 5.9. Business risk score 5.0: industry 5, steadiness of sales 5 (year-on-year growth varies by 7.8%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 5.5: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

Coming events, open questions, and the record

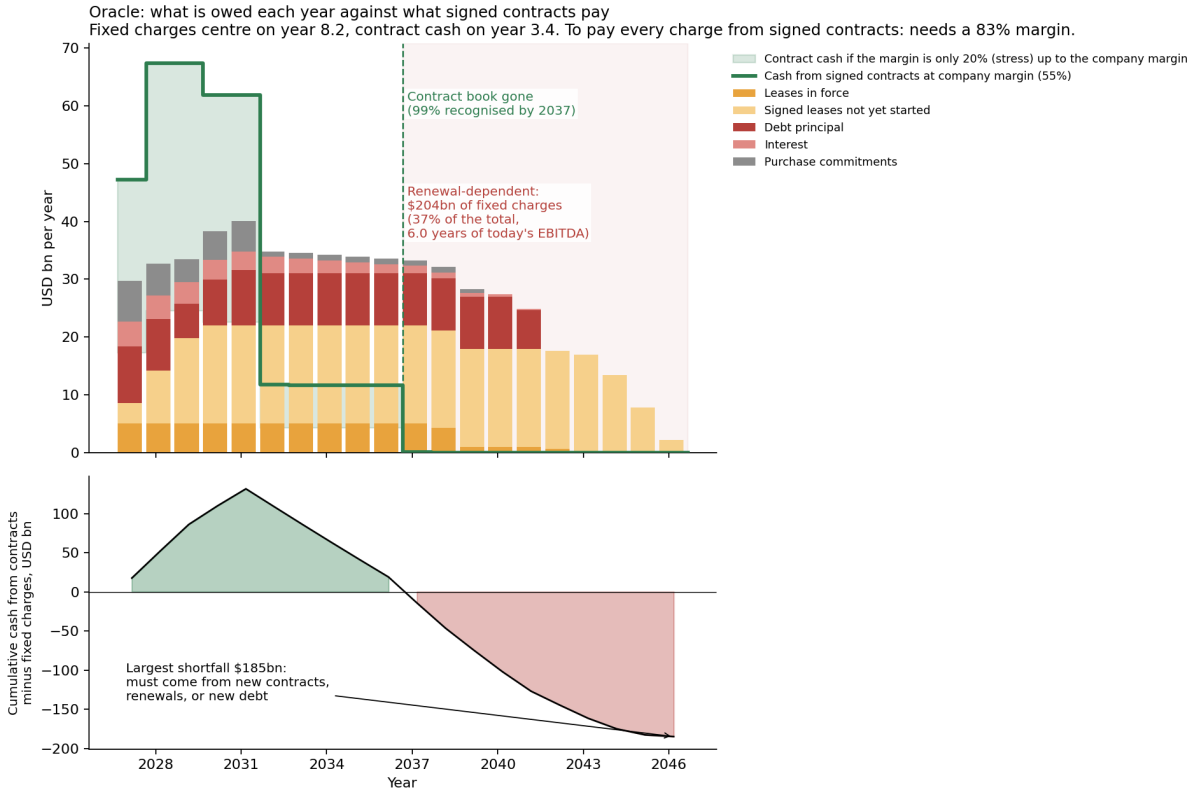
- Next quarterly results (estimated from filing cadence): 2026-12-12 (estimate).
- Debt due by 1.0 years out: - $7.2bn.

Open questions, most important first:

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).

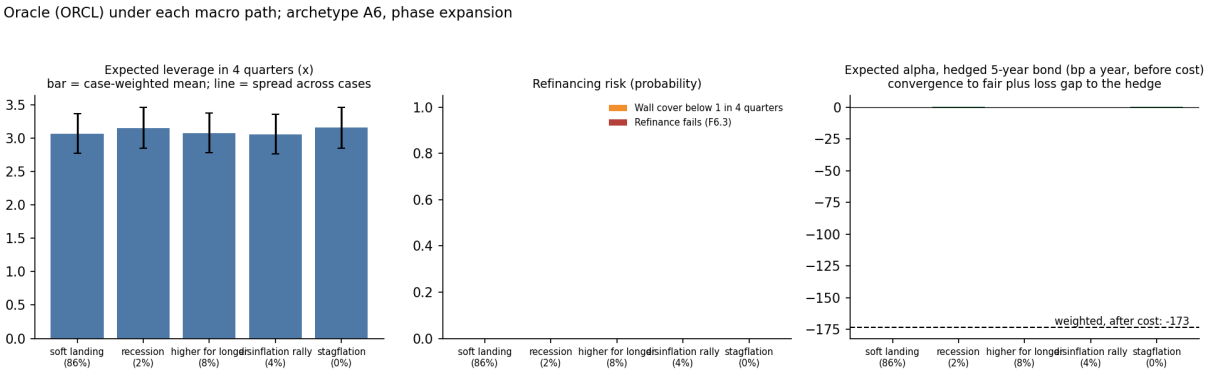
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



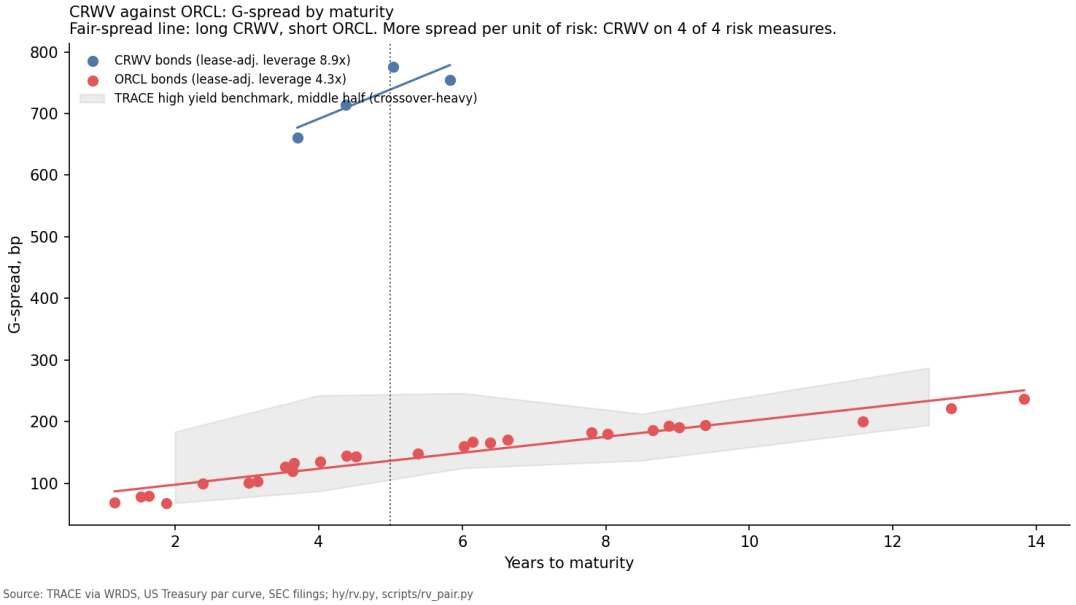
Source: Oracle SEC filings as of 2026-08-31 (XBRL), hy/clocks.py. Assumptions listed in the write-up.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

HCA Healthcare (HCA)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs; the checks point in different directions. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 5 of the issuers in this run. 2 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+47	40%	+19	leans to owning
G2 clocks. Two clocks	+197	20%	+39	supports owning
G2 rest. Built methods (rest)	-82	18%	-15	against owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	-210	17%	-36	against owning
Combined, before trading costs			**+8**	
Trading costs			-176	
Combined, after trading costs			**-169**	
Weighted cases and stories alone, after costs			-231	
Calibrated: after-cost number x measured slope 0.079			-13	

Against the weighted cases and stories alone, the combination is 62 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -13 bp a year after costs (-43 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +47 bp a year before trading costs (costs are 176 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 4 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-6	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+96	25%	+24	F4; RV PDF E75-E76
Debt against market value	+124	25%	+31	F7.7
Return above cash, repriced in every story	-32	25%	-8	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 68 bp over Treasuries at 5 years. A company with its leverage (2.9x with leases) pays 88 bp on the fair line, so the bond is expensive by 20 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** HCA Healthcare, Inc. is one of the leading health care services companies in the United States. At December 31, 2025, we operated 190 hospitals, comprised of 179 general acute care hospitals, seven behavioral hospitals, and four rehabilitation hospitals.
2. **How it earns:** revenue 76.4bn a year at a 20% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** a reimbursement rule change, bad debt, or labour cost inflation.

Business type: A2.

G1.3 Earnings, normalised

Last 12 months: EBITDA $15.6bn at a 20% margin; margin trend over 8 quarters 1.3 (t-statistic: above 1 rising, below −1 falling). One-off items $0.0bn. Free cash flow $7.9bn: 51% of EBITDA. Earnings-quality flags raised: none (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$1.1bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.4bn
Liquidity	$0.7bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$2.5bn
Cash to meet debt due in a year, base case	3.27x
Refinancing access score, likely story (0 to 6)	4

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($5.1bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$-2.4bn
First quarter below zero, likely story	quarter 1
Lowest point with all capital spending	$-2.6bn
First quarter below zero with all capital spending	quarter 1
Lowest point, severe case	$-4.5bn
Severe case with all capital spending: first quarter below zero	quarter 1
Lowest point, weighted over the stories	$-2.4bn
Debt due inside 8 quarters, share of all debt	14%

Refinancing shock. $6.2bn falls due in the next two years. It pays about 5.72% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.0bn (0.0% of EBITDA). Interest cover after refinancing: 7.0x; after capital spending 4.7x. Free cash flow after the shock: 17.3% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$45.8bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$15.6bn
Debt / EBITDA	2.9x
(Debt + leases) / (EBITDA + rent)	2.9x
Net debt / EBITDA	2.9x
Coverage (after all capital spending)	4.7x
Fixed-charge cover (after maintenance spending)	5.38x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
197677AJ6	7.05%	2027-12-01	102.3	5.09%	63
404119CY3	5.00%	2028-03-01	100.0	4.97%	45
404119CP2	5.20%	2028-06-01	100.2	5.07%	48
404121AJ4	5.63%	2028-09-01	100.8	5.02%	36
404119BW8	5.87%	2029-02-01	101.3	5.14%	44
404119CJ6	3.38%	2029-03-15	96.1	5.06%	35

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $130bn (shares $85bn plus net debt): 8.3x EBITDA; debt is 35% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (404119DJ5, 4.70% due 2031-05-15, price 96.93 plus 1.61 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 65% of the price paid.

Measure	Value
Expected return above cash, bp a year	-32
Chance of a loss over six months	8.7%
Chance of doing worse than cash	9.0%
Average loss in the worst 5% of outcomes	5.8%
Same, with rates and the market hedged out, bp a year	-105
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	+478

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -82 bp a year before trading costs (costs are 176 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 6 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-99	42%	-41	Spec S14 E0; K15
Weighted cases and stories	-55	25%	-14	M5.4, M7.5
Spread against the fair line	-49	17%	-8	M7.4, M7.5
The pair	-428	8%	-36	M7.4; F10 S4
Health panel	+200	8%	+17	F8

G2.1 The two clocks: bills against what pays for them

Verdict: supports owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +197 bp a year before trading costs (costs are 176 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 1 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+197	100%	+197	M4.7

Fixed bills total $59.2bn, centred 4.4 years out: leases in force $3.2bn, debt principal $45.8bn, interest $10.2bn. That is 3.8 years of today's EBITDAR; next year's bills take 44% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.6%	2.8x	2.9x	$2.8bn	no	no
down moderate	11%	0.7%	2.9x	2.9x	$2.9bn	no	no
down severe	4%	0.3%	3.9x	3.9x	$0.6bn	no	no
upside	21%	2.5%	2.7x	2.9x	$2.7bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	2.8x	3.9x	0%	0.6%	-53
recession	2%	2.9x	4.0x	0%	1.6%	-137
higher for longer	8%	2.8x	3.9x	0%	0.7%	-62
disinflation rally	4%	2.8x	3.9x	0%	0.5%	-41
stagflation	0%	2.9x	4.0x	0%	1.6%	-139

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 68 bp against a fair 88 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Health Care. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-52%	-45%
Sector only	-86%	-71%
Rating only	-52%	-45%

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 22% of the peer bonds across all sectors, and -54% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 30% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 7%) and the stock's 3-month return (9.7%, rank 53%). It has no weight in the score. **Against THC.** Spreads at 5 years: HCA 68 bp, THC 123 bp.

Spread per	HCA	THC	Cheaper
turn of leverage	23	40	THC

The fair line favours long THC, short HCA: a gap of 51 bp, which halves in about 5 weeks on six months of trades. Under the stories the pair earns soft landing +120, recession +314, higher for longer +143, disinflation rally +93, stagflation +320 bp a year; weighted +125 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -55 bp a year before trading costs, -231 bp after. It does not beat costs. The expected default loss is charged on the price paid: 65% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	0.6%	0.6%	0.1%	open	not tested
Breakeven default probability, 12 months (loss on price)	1.1%	0.6%	-0.4%	0.5%	no
Leverage the spread is pricing	2.11	2.93	0.82	0.90	no
Spread against fair (bp)	68	88	20	25	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Refinancing access score (0 to 6)	4.00	amber
Coverage	4.72	green
Fixed-charge cover	5.38	green
Cash conversion (FCF / EBITDA)	0.51	green
Free cash flow / debt	0.17	green
Cash to meet debt due in 1 year (base case)	3.27	green
Earnings-quality flags	0.00	green
Margin trend (t-statistic)	1.31	green
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 176 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $15.6bn. The company's own measure adds back $0.0bn of one-off items to reach $15.6bn: 0.0% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $7.9bn. The two roads to free cash flow (the EBITDA bridge, $6.8bn; operating cash flow less capital spending, $7.9bn) differ by 7% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: 11.4% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	4.3%
EBITDA	improving	trend	2.1%
EBITDA margin	deteriorating	observation	-2.1%
cash conversion	improving	observation	32.8%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	open
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is -210 bp a year before trading costs (costs are 176 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 8 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+22	15%	+3	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	-249	15%	-37	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-299	53%	-159	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-103	18%	-18	Dynkin et al. ch. 14

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$15.6bn
less capital spending	$5.1bn
less cash interest	$2.2bn
less cash taxes	$1.7bn
less increase in working capital	$-0.2bn
Free cash flow	**$6.8bn**
Check: free cash flow before capital spending less operating cash flow	$-1.1bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	7.0x	Debt / EBITDA	2.9x
(EBITDA − capex) / interest	4.7x	Net debt / EBITDA	2.9x
(EBITDA − maintenance capex) / interest	5.4x	Free cash flow / debt	17.0%
EBITDA / debt (highest rate at 1x cover)	34.0%	Market value / EBITDA	8.3x
Equity cushion (1 − debt / market value)	65%	Spread per turn of leverage	23 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	35%	1.4	57.5%	78.5%
Funds from operations / debt	28%	6.0	19.5%	10.8%
Free operating cash flow / debt	17%	5.3	8.5%	2.5%
EBITDA / interest (with lease interest)	7.0x	4.8	3.2x	1.8x
EBITDA margin	20%	3.0		

Financial risk score 4.4. Business risk score 4.0: industry 4, steadiness of sales 3 (year-on-year growth varies by 2.1%), customer spread 5. The book puts 55% of the weight on business risk for this class, so the default risk score is 4.2: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

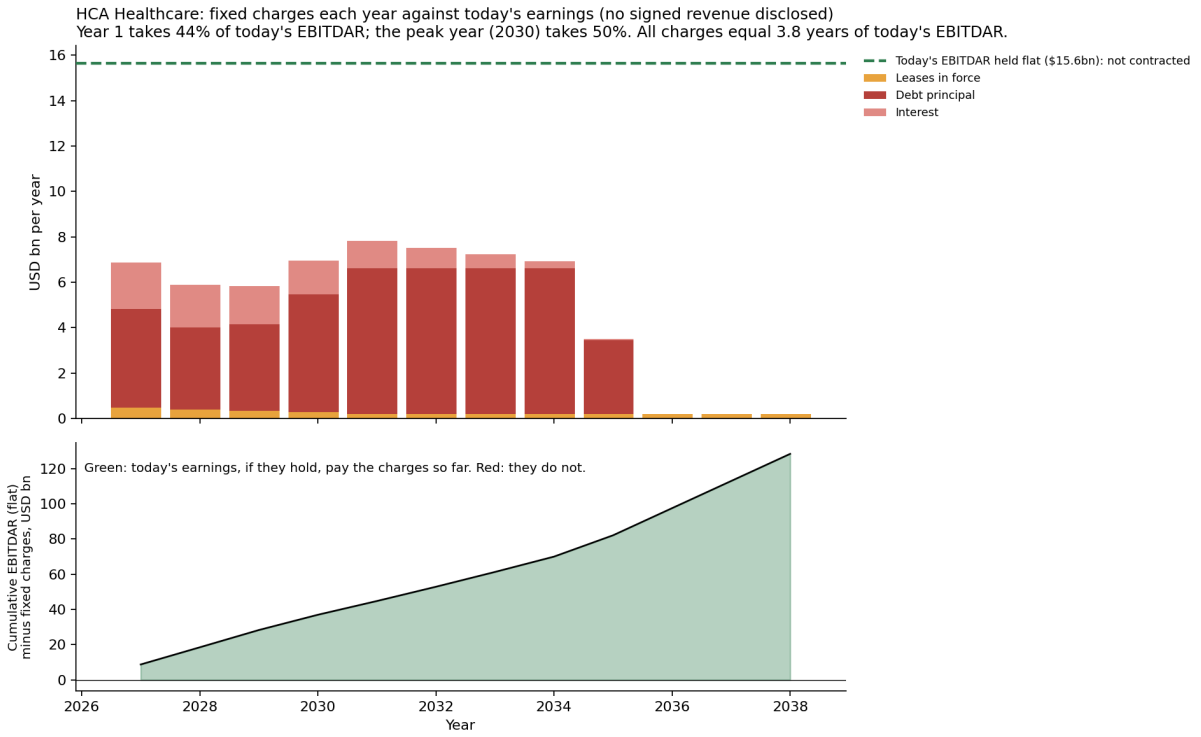
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-10-27 (estimate).
- Debt due by 1.0 years out: - $2.5bn.

Open questions, most important first:

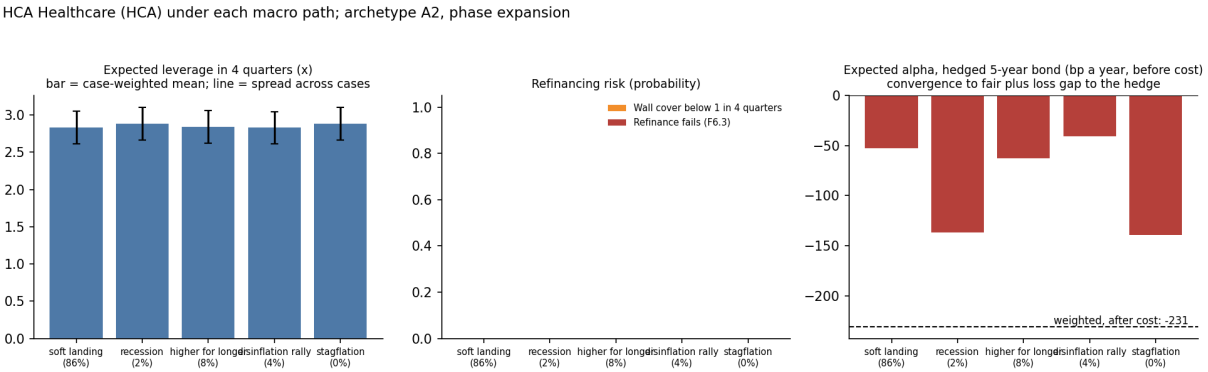
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. The funding gap opens only because no revolver capacity is tagged: read the credit facility note before using the gap.
7. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
8. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
9. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
10. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



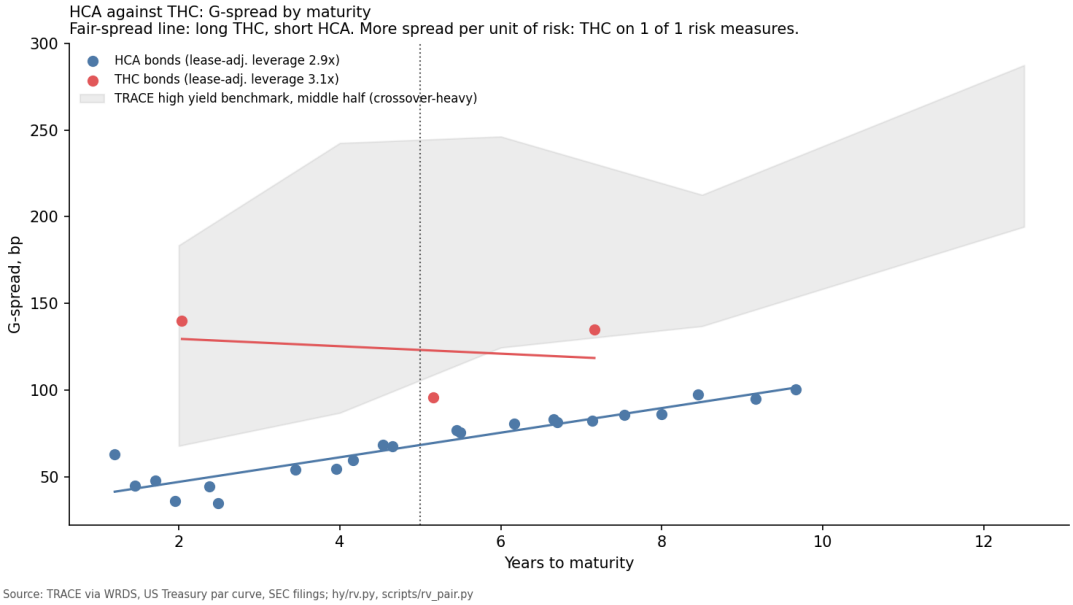
Source: HCA Healthcare SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Tenet Healthcare (THC)

Recommendation. Pass. This is a view of the company, not a trade: the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 2 of the issuers in this run. 4 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+22	40%	+9	leans to owning
G2 clocks. Two clocks	+183	20%	+37	supports owning
G2 rest. Built methods (rest)	+60	18%	+11	leans to owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	+41	17%	+7	leans to owning
Combined, before trading costs			**+63**	
Trading costs			-174	
Combined, after trading costs			**-111**	
Weighted cases and stories alone, after costs			-103	
Calibrated: after-cost number x measured slope 0.079			-9	

Against the weighted cases and stories alone, the combination is 8 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -9 bp a year after costs (-28 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +22 bp a year before trading costs (costs are 174 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 5 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	+20	0%	+0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+96	25%	+24	F4; RV PDF E75-E76
Debt against market value	-106	25%	-27	F7.7
Return above cash, repriced in every story	+99	25%	+25	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 123 bp over Treasuries at 5 years. A company with its leverage (3.1x with leases) pays 93 bp on the fair line, so the bond is cheap by 30 bp. The bills outlast the signed contracts (section

G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** Tenet Healthcare Corporation ("Tenet") is a diversified healthcare services company with its headquarters in Dallas, Texas, and a Global Business Center ("GBC") in the Philippines that supports various enterprise-wide administrative functions. We operate our expansive, nationwide care delivery network through direct and indirect subsidiaries, as well as downstream partnerships and joint ventures; the terms "we," "our" and "us," as used in this report and unless otherwise stated or indicated by t
2. **How it earns:** revenue 21.8bn a year at a 20% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** a reimbursement rule change, bad debt, or labour cost inflation.

Business type: A2.

G1.3 Earnings, normalised

Last 12 months: EBITDA $4.3bn at a 20% margin; margin trend over 8 quarters 1.4 (t-statistic: above 1 rising, below −1 falling). One-off items $0.4bn. Free cash flow $3.0bn: 71% of EBITDA. Earnings-quality flags raised: EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.2bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$2.1bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$0.1bn
Cash to meet debt due in a year, base case	55.10x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.1bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$2.6bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$2.6bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$2.5bn
Severe case with all capital spending: first quarter below zero	no gap in 8 quarters
Lowest point, weighted over the stories	$2.6bn
Debt due inside 8 quarters, share of all debt	13%

Refinancing shock. $1.7bn falls due in the next two years. It pays about 6.12% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's

spread, yearly interest changes by $0.0bn (0.1% of EBITDA). Interest cover after refinancing: 5.1x; after capital spending 3.9x. Free cash flow after the shock: 22.8% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$13.2bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$4.3bn
Debt / EBITDA	3.1x
(Debt + leases) / (EBITDA + rent)	3.1x
Net debt / EBITDA	2.6x
Coverage (after all capital spending)	3.9x
Fixed-charge cover (after maintenance spending)	4.16x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
88033GDK3	6.12%	2028-10-01	100.1	6.07%	140
88033GAV2	6.88%	2031-11-15	105.0	5.75%	96
88033GDV9	6.00%	2033-11-15	98.8	6.21%	135

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $26bn (shares $15bn plus net debt): 6.1x EBITDA; debt is 51% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (88033GAV2, 6.88% due 2031-11-15, price 104.98 plus 2.33 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 68% of the price paid.

Measure	Value
Expected return above cash, bp a year	+99
Chance of a loss over six months	8.7%
Chance of doing worse than cash	9.0%
Average loss in the worst 5% of outcomes	5.8%
Same, with rates and the market hedged out, bp a year	+2
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	+348

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: leans to owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +60 bp a year before trading costs (costs are 174 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 3 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-45	42%	-19	Spec S14 E0; K15
Weighted cases and stories	+71	25%	+18	M5.4, M7.5
Spread against the fair line	+72	17%	+12	M7.4, M7.5
The pair	+428	8%	+36	M7.4; F10 S4
Health panel	+158	8%	+13	F8

G2.1 The two clocks: bills against what pays for them

Verdict: supports owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +183 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 2 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+183	100%	+183	M4.7

Fixed bills total $17.7bn, centred 3.3 years out: leases in force $1.5bn, debt principal $13.3bn, interest $2.9bn. That is 4.2 years of today's EBITDAR; next year's bills take 46% of it.

Measure	Value
Signed contracts (RPO)	$1.7bn
Where bills centre / where contract cash centres	year 3.3 / year 1.0
Contracts 99% booked by	year 2
Margin needed for contracts to pay every bill	over 100% (no margin is enough)
Company margin (EBITDAR)	20%
Share of bills paid by contracts at that margin	2%
Bills due after the contracts end	$12.8bn (72%)
of which debt to refinance	$11.8bn (66%)
of which rent and purchases to recontract	$1.0bn (6%)
Revenue to sign after the contracts end	2.9 years of today's revenue
Largest running shortfall	$17.4bn
Top three customers	n/a
Share paid by contracts at a 0.20 margin	2%
Share paid by contracts at a 0.35 margin	3%
Share paid by contracts at a 0.50 margin	5%

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.3%	2.9x	3.1x	$2.7bn	no	no
down moderate	11%	0.4%	3.1x	3.1x	$2.7bn	no	no
down severe	4%	-0.1%	3.8x	4.0x	$2.6bn	no	no
upside	21%	2.1%	2.7x	3.0x	$2.7bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	2.9x	4.0x	0%	0.7%	68
recession	2%	3.0x	4.2x	0%	1.7%	178
higher for longer	8%	2.9x	4.0x	0%	0.8%	81
disinflation rally	4%	2.9x	4.0x	0%	0.5%	52
stagflation	0%	3.0x	4.2x	0%	1.7%	181

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 123 bp against a fair 93 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733

bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Health Care. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-14%	-6%
Sector only	-74%	-51%
Rating only	-14%	-6%

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 41% of the peer bonds across all sectors, and -26% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 72% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 50%) and the stock's 3-month return (51.7%, rank 93%). It has no weight in the score. **Against HCA.** Spreads at 5 years: HCA 68 bp, THC 123 bp.

Spread per	HCA	THC	Cheaper
turn of leverage	23	40	THC

The fair line favours long THC, short HCA: a gap of 51 bp, which halves in about 5 weeks on six months of trades. Under the stories the pair earns soft landing +120, recession +314, higher for longer +143, disinflation rally +93, stagflation +320 bp a year; weighted +125 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 71 bp a year before trading costs, -103 bp after. It does not beat costs. The expected default loss is charged on the price paid: 68% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.0%	0.7%	-0.3%	open	not tested
Breakeven default probability, 12 months (loss on price)	1.8%	0.7%	-1.1%	0.9%	yes
Leverage the spread is pricing	4.00	3.11	-0.88	0.90	no
Spread against fair (bp)	123	93	-30	26	yes
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	1.00	amber
Coverage	3.92	green
Fixed-charge cover	4.16	green
Cash conversion (FCF / EBITDA)	0.71	green
Free cash flow / debt	0.23	green
Cash to meet debt due in 1 year (base case)	55.10	green
Margin trend (t-statistic)	1.35	green
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $4.8bn. The company's own measure adds back $-0.4bn of one-off items to reach $4.3bn: -8.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is above the 5% line the lender's checklist sets for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $3.0bn. The two roads to free cash flow (the EBITDA bridge, $3.0bn; operating cash flow less capital spending, $3.0bn) differ by 1% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: n/a (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	6.8%
EBITDA	open	no data	n/a
EBITDA margin	open	no data	n/a
cash conversion	open	no data	n/a

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	open
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: leans to owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is +41 bp a year before trading costs (costs are 174 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 4 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+133	15%	+19	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+205	15%	+30	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-43	53%	-23	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	+82	18%	+14	Dynkin et al. ch. 14

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$4.3bn
less capital spending	$1.0bn
less cash interest	$0.8bn
less cash taxes	$0.5bn
less increase in working capital	$-1.1bn
Free cash flow	**$3.0bn**
Check: free cash flow before capital spending less operating cash flow	$-0.0bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	5.1x	Debt / EBITDA	3.1x
(EBITDA − capex) / interest	3.9x	Net debt / EBITDA	2.6x
(EBITDA − maintenance capex) / interest	4.2x	Free cash flow / debt	23.0%
EBITDA / debt (highest rate at 1x cover)	32.0%	Market value / EBITDA	6.2x
Equity cushion (1 − debt / market value)	49%	Spread per turn of leverage	40 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	47%	5.6	57.5%	78.5%
Funds from operations / debt	22%	7.1	19.5%	10.8%
Free operating cash flow / debt	23%	3.6	8.5%	2.5%
EBITDA / interest (with lease interest)	5.1x	5.8	3.2x	1.8x
EBITDA margin	20%	5.0		

Financial risk score 5.5. Business risk score 4.0: industry 4, steadiness of sales 3 (year-on-year growth varies by 4.8%), customer spread 5. The book puts 55% of the weight on business risk for this class, so the default risk score is 4.7: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

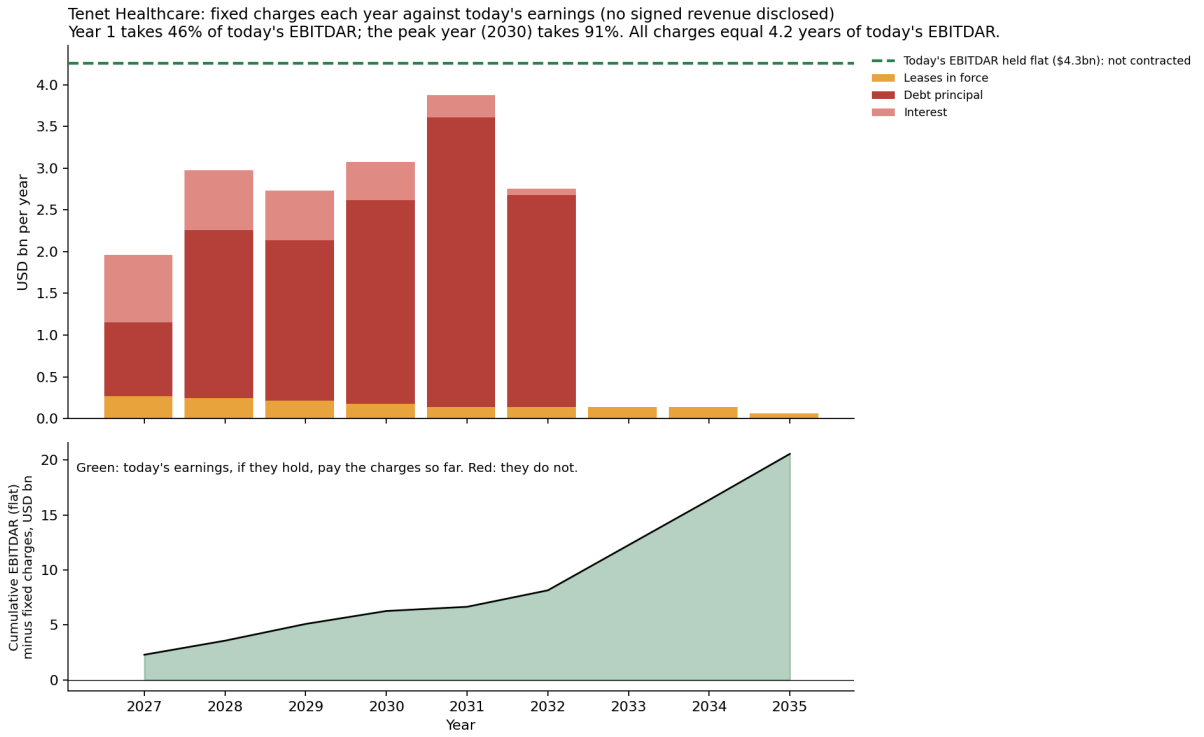
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-10-28 (estimate).
- Debt due by 1.0 years out: - $0.1bn.

Open questions, most important first:

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

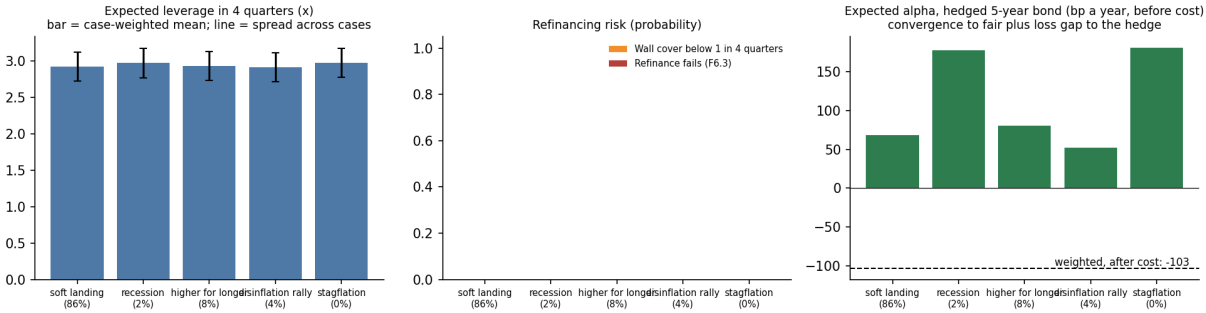
Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



Source: Tenet Healthcare SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

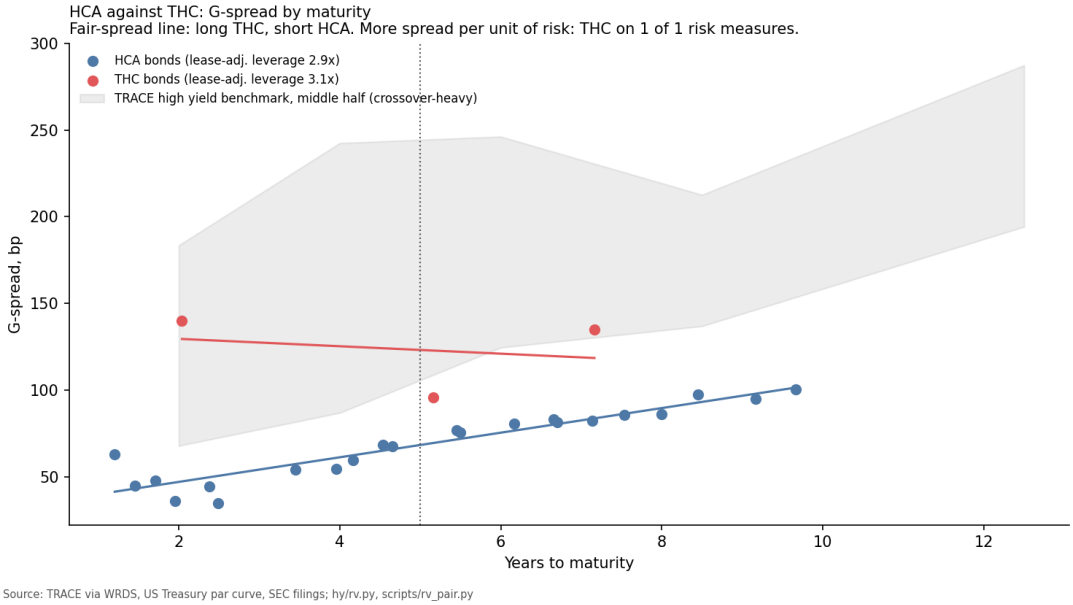
The two clocks (section G2.1).

Tenet Healthcare (THC) under each macro path; archetype A2, phase expansion



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Carnival Corp (CCL)

Recommendation. Pass. This is a view of the company, not a trade: the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 3 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+72	40%	+29	leans to owning
G2 clocks. Two clocks	+88	20%	+18	leans to owning
G2 rest. Built methods (rest)	+16	18%	+3	leans to owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	-8	17%	-1	against owning
Combined, before trading costs			**+48**	
Trading costs			-174	
Combined, after trading costs			**-126**	
Weighted cases and stories alone, after costs			-116	
Calibrated: after-cost number x measured slope 0.079			-10	

Against the weighted cases and stories alone, the combination is 9 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -10 bp a year after costs (-32 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +72 bp a year before trading costs (costs are 174 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 3 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	+20	0%	+0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+96	25%	+24	F4; RV PDF E75-E76
Debt against market value	+38	25%	+9	F7.7
Return above cash, repriced in every story	+154	25%	+38	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 129 bp over Treasuries at 5 years. A company with its leverage (3.5x with leases) pays 105 bp on the fair line, so the bond is cheap by 24 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** A. Overview I.Summary Carnival Corporation was incorporated in Panama in 1974 and Carnival plc was incorporated in England and Wales in 2000.
2. **How it earns:** revenue 27.3bn a year at a 27% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** contracts roll off or churn; the asset value cycle turns.

Business type: A5.

G1.3 Earnings, normalised

Last 12 months: EBITDA $7.3bn at a 27% margin; margin trend over 8 quarters -0.7 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.1bn. Free cash flow $3.2bn: 44% of EBITDA. Earnings-quality flags raised: EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.2bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$2.1bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$3.3bn
Cash to meet debt due in a year, base case	6.49x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($1.7bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$1.1bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$0.4bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$-1.5bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$1.1bn
Debt due inside 8 quarters, share of all debt	13%

Refinancing shock. $3.3bn falls due in the next two years. It pays about 6.65% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $-0.0bn (-0.1% of EBITDA). Interest cover after refinancing: 6.1x; after capital spending 3.1x. Free cash flow after the shock: 12.6% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$25.6bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$7.3bn
Debt / EBITDA	3.5x
(Debt + leases) / (EBITDA + rent)	3.5x
Net debt / EBITDA	3.2x
Coverage (after all capital spending)	3.1x
Fixed-charge cover (after maintenance spending)	3.86x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
143658AH5	6.65%	2028-01-15	101.9	5.15%	66
143658CB6	5.12%	2029-05-01	98.7	5.68%	96
143658BY7	5.75%	2030-03-15	99.6	5.87%	111
143658BZ4	5.87%	2031-06-15	99.1	6.09%	131
143658CA8	5.75%	2032-08-01	98.0	6.16%	134
143658BX9	6.12%	2033-02-15	98.9	6.34%	151

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $62bn (shares $38bn plus net debt): 8.4x EBITDA; debt is 41% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (143658BZ4, 5.88% due 2031-06-15, price 99.11 plus 1.52 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 65% of the price paid.

Measure	Value
Expected return above cash, bp a year	+154
Chance of a loss over six months	8.7%
Chance of doing worse than cash	9.1%
Average loss in the worst 5% of outcomes	5.9%
Same, with rates and the market hedged out, bp a year	+24
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	+292

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: leans to owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +16 bp a year before trading costs (costs are 174 bp a year); 3 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 4 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-39	42%	-16	Spec S14 E0; K15
Weighted cases and stories	+57	25%	+14	M5.4, M7.5
Spread against the fair line	+58	17%	+10	M7.4, M7.5
The pair	-22	8%	-2	M7.4; F10 S4
Health panel	+117	8%	+10	F8

G2.1 The two clocks: bills against what pays for them

Verdict: leans to owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +88 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 4 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+88	100%	+88	M4.7

Fixed bills total $50.7bn, centred 4.7 years out: leases in force $1.8bn, debt principal $25.6bn, interest $4.8bn, purchase commitments $18.5bn. That is 6.9 years of today's EBITDAR; next year's bills take 63% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.3%	3.4x	4.2x	$2.9bn	no	no
down moderate	11%	1.6%	4.1x	4.5x	$2.5bn	no	no
down severe	4%	1.6%	5.6x	5.6x	$2.2bn	no	no
upside	21%	1.5%	2.9x	3.8x	$3.3bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	3.5x	5.6x	0%	0.7%	55
recession	2%	3.7x	5.9x	0%	1.9%	144
higher for longer	8%	3.5x	5.6x	0%	0.9%	65
disinflation rally	4%	3.4x	5.5x	0%	0.6%	43
stagflation	0%	3.7x	5.9x	0%	1.9%	146

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 129 bp against a fair 105 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-10%	-17%
Sector only	-22%	+27%
Rating only	-10%	-12%

SPiDER (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 18% of the peer bonds across all sectors, and -64% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 40% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 50%) and the stock's 3-month return (-14.3%, rank 29%). It has no weight in the score. **Against NCLH.** Spreads at 5 years: CCL 129 bp, NCLH 258 bp.

Spread per	CCL	NCLH	Cheaper
turn of leverage	37	45	NCLH

The fair line favours long NCLH, short CCL: a gap of 3 bp, which halves in about 3 weeks on six months of trades. Under the stories the pair earns soft landing +6, recession +156, higher for longer +35, disinflation rally -28, stagflation +118 bp a year; weighted +11 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 57 bp a year before trading costs, -116 bp after. It does not beat costs. The expected default loss is charged on the price paid: 65% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.1%	0.8%	-0.3%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.0%	0.8%	-1.2%	1.0%	yes
Leverage the spread is pricing	4.15	3.49	-0.66	0.90	no
Spread against fair (bp)	129	105	-24	29	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	1.00	amber
Margin trend (t-statistic)	-0.72	amber
Coverage	3.09	green
Fixed-charge cover	3.86	green
Cash conversion (FCF / EBITDA)	0.44	green
Free cash flow / debt	0.13	green
Cash to meet debt due in 1 year (base case)	6.49	green
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $7.2bn. The company's own measure adds back $0.1bn of one-off items to reach $7.3bn: 1.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $3.1bn. The two roads to free cash flow (the EBITDA bridge, $3.0bn; operating cash flow less capital spending, $3.2bn) differ by 2% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The filing states these maintenance tests. We test them on our own ratio, which uses our EBITDA, not the covenant's, and the whole group.

Test	Level	Our ratio	Headroom	Band	Notes
Maintain minimum interest coverage	3.00	6.07	51%	comfortable	EBITDA / cash interest
minimum liquidity	1,500.00	2,243.00	33%	comfortable	cash only (unused lines not tagged)

Tightest headroom we can read: 33% (comfortable). The lender's bands: 20% or more is comfortable, 10% to 20% needs attention, under 10% is tight.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: 6.6% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	5.3%
EBITDA	deteriorating	observation	-3.2%
EBITDA margin	deteriorating	observation	-8.1%
cash conversion	improving	data point	17.6%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	pass

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is -8 bp a year before trading costs (costs are 174 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 6 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+106	15%	+16	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+94	15%	+14	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-23	53%	-12	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-142	18%	-25	Dynkin et al. ch. 14

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$7.3bn
less capital spending	$3.6bn
less cash interest	$1.2bn
less cash taxes	$0.0bn
less increase in working capital	$-0.5bn
Free cash flow	**$3.0bn**
Check: free cash flow before capital spending less operating cash flow	$-0.2bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	6.1x	Debt / EBITDA	3.5x
(EBITDA − capex) / interest	3.1x	Net debt / EBITDA	3.2x
(EBITDA − maintenance capex) / interest	3.9x	Free cash flow / debt	13.0%
EBITDA / debt (highest rate at 1x cover)	29.0%	Market value / EBITDA	8.4x
Equity cushion (1 − debt / market value)	59%	Spread per turn of leverage	37 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	40%	3.0	57.5%	78.5%
Funds from operations / debt	24%	6.6	19.5%	10.8%
Free operating cash flow / debt	13%	6.5	8.5%	2.5%
EBITDA / interest (with lease interest)	6.1x	5.2	3.2x	1.8x
EBITDA margin	27%	3.0		

Financial risk score 5.1. Business risk score 4.5: industry 5, steadiness of sales 3 (year-on-year growth varies by 3.7%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 4.8: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

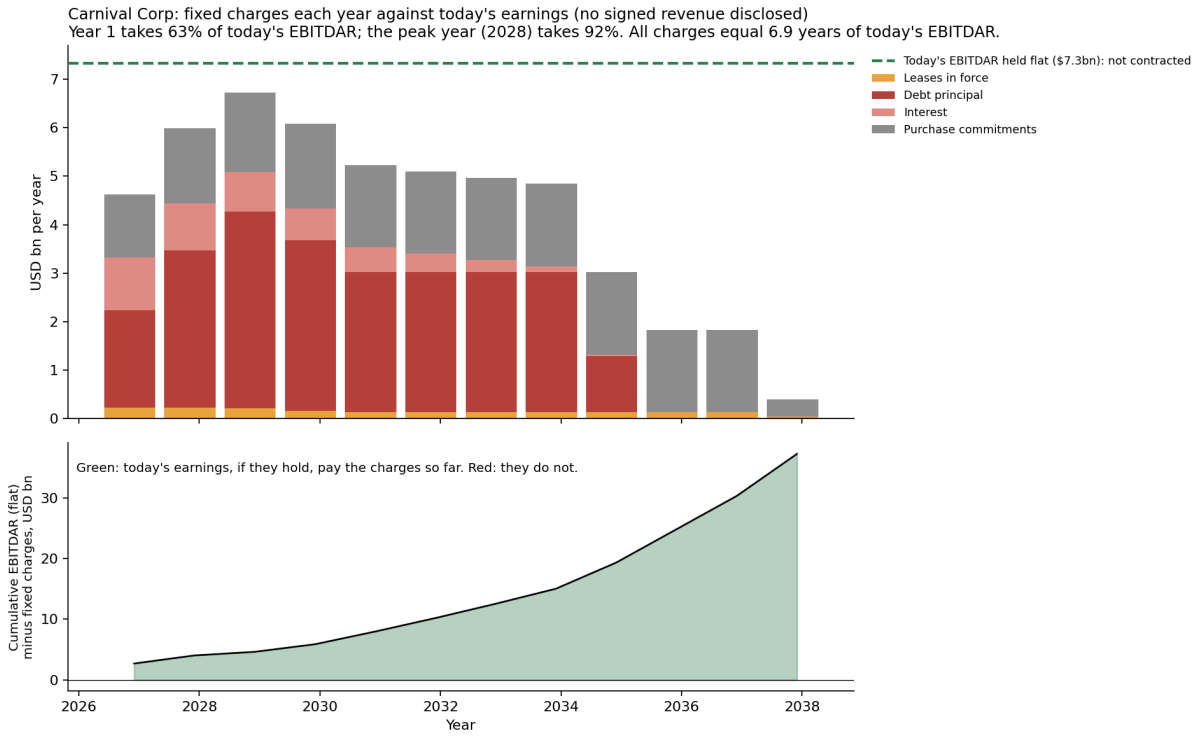
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-09-25 (estimate).
- Debt due by 0.5 years out: - $0.7bn.

Open questions, most important first:

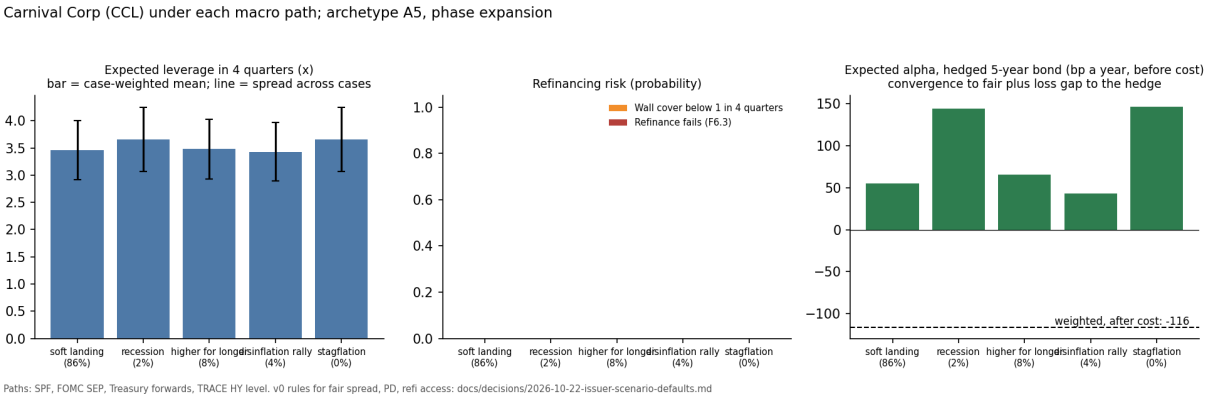
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
6. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
7. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
8. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
9. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).
10. Add-back table by class C1 to C10: read the company's adjusted EBITDA reconciliation (8-K exhibit 99); Compustat gives one special-items line, so the 5% test runs on the total.

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



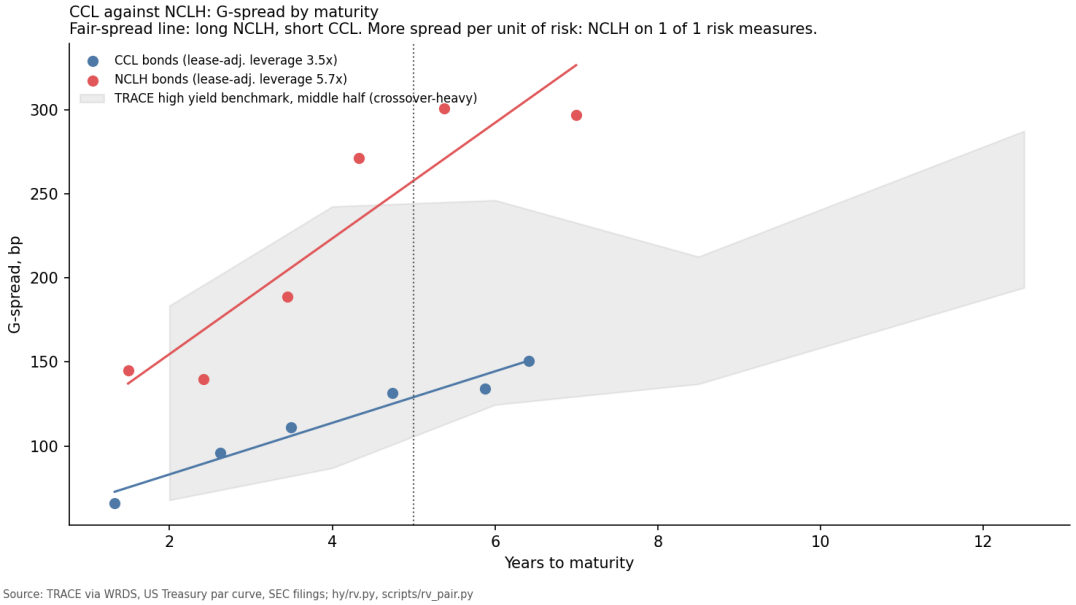
Source: Carnival Corp SEC filings as of 2026-05-31 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Norwegian Cruise Line Holdings (NCLH)

Recommendation. Pass. This is a view of the company, not a trade: no gap between price and our view is bigger than the noise; the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is CCL. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 4 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	-58	40%	-23	against owning
G2 clocks. Two clocks	+102	20%	+20	leans to owning
G2 rest. Built methods (rest)	+62	18%	+11	leans to owning
G3. Credit skills	-215	5%	-11	against owning
G4. Books and peers	+52	17%	+9	leans to owning
Combined, before trading costs			**+6**	
Trading costs			-168	
Combined, after trading costs			**-162**	
Weighted cases and stories alone, after costs			-100	
Calibrated: after-cost number x measured slope 0.079			-13	

Against the weighted cases and stories alone, the combination is 61 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -13 bp a year after costs (-41 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: against owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is -58 bp a year before trading costs (costs are 168 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 8 of the issuers on this group alone. Best alternative for the same money: CCL.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-13	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	-167	25%	-42	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	-247	25%	-62	F4; RV PDF E75-E76
Debt against market value	-264	25%	-66	F7.7
Return above cash, repriced in every story	+445	25%	+111	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 258 bp over Treasuries at 5 years. A company with its leverage (5.7x with leases) pays 208 bp on the fair line, so the bond is cheap by 50 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** History and Development of the Company Norwegian commenced operations from Miami, Florida in 1966, launching the modern cruise industry by offering weekly departures from Miami, Florida to destinations in the Caribbean. In February 2011, NCLH, a Bermuda limited company, was formed.
2. **How it earns:** revenue 10.2bn a year at a 27% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** contracts roll off or churn; the asset value cycle turns.

Business type: A5.

G1.3 Earnings, normalised

Last 12 months: EBITDA $2.7bn at a 27% margin; margin trend over 8 quarters -0.5 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.2bn. Free cash flow $-1.2bn: -44% of EBITDA. Earnings-quality flags raised: EQ7 conversion, EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$0.2bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$0.2bn
Runway at today's cash burn, all capital spending (quarters)	0.6
First quarter cash runs out, severe case, maintenance spending only	2
First quarter cash runs out, severe case, all committed spending	1
Runway we quote (the shortest)	**0.6** (static)
Debt due in the next 18 months	$1.6bn
Cash to meet debt due in a year, base case	1.80x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.7bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$-1.0bn
First quarter below zero, likely story	quarter 1
Lowest point with all capital spending	$-2.0bn
First quarter below zero with all capital spending	quarter 1
Lowest point, severe case	$-2.5bn
Severe case with all capital spending: first quarter below zero	quarter 1
Lowest point, weighted over the stories	$-1.0bn
Debt due inside 8 quarters, share of all debt	10%

Refinancing shock. $1.6bn falls due in the next two years. It pays about 6.12% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.0bn (0.9% of EBITDA). Interest cover after refinancing: n/a; after capital spending n/a. Free cash flow after the shock: -7.8% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$15.5bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$2.7bn
Debt / EBITDA	5.7x
(Debt + leases) / (EBITDA + rent)	5.7x
Net debt / EBITDA	5.6x
Coverage (after all capital spending)	n/a
Fixed-charge cover (after maintenance spending)	n/a

Bond	Coupon	Matures	Price	Yield	Spread (bp)
62888HAA7	6.12%	2028-03-15	100.2	5.98%	145
62886HBG5	7.75%	2029-02-15	103.3	6.10%	140
62886HBP5	6.25%	2030-03-01	98.8	6.64%	189
62886HBY6	5.87%	2031-01-15	94.1	7.48%	271
62886HBR1	6.75%	2032-02-01	95.4	7.80%	301
62886HBZ3	6.25%	2033-09-15	91.6	7.83%	297

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $25bn (shares $10bn plus net debt): 9.2x EBITDA; debt is 62% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (62886HBR1, 6.75% due 2032-02-01, price 95.44 plus 0.85 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 64% of the price paid.

Measure	Value
Expected return above cash, bp a year	+445
Chance of a loss over six months	11.5%
Chance of doing worse than cash	11.5%
Average loss in the worst 5% of outcomes	15.8%
Same, with rates and the market hedged out, bp a year	+143
Best alternative in this run (worst 5% loss within the 25% budget)	CCL
Return given up against that alternative, bp a year	-292

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: leans to owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +62 bp a year before trading costs (costs are 168 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 2 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	+90	42%	+38	Spec S14 E0; K15
Weighted cases and stories	+68	25%	+17	M5.4, M7.5
Spread against the fair line	+117	17%	+19	M7.4, M7.5
The pair	+22	8%	+2	M7.4; F10 S4
Health panel	-162	8%	-13	F8

G2.1 The two clocks: bills against what pays for them

Verdict: leans to owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +102 bp a year before trading costs (costs are 168 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 3 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+102	100%	+102	M4.7

Fixed bills total $17.6bn, centred 5.6 years out: leases in force $2.2bn, debt principal $15.5bn. That is 6.5 years of today's EBITDAR; next year's bills take 41% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.5%	5.2x	6.3x	$0.4bn	no	no
down moderate	11%	1.9%	6.1x	6.8x	$0.3bn	no	no
down severe	4%	1.8%	8.6x	8.6x	$-0.2bn	2	no
upside	21%	1.8%	4.4x	5.8x	$0.5bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	5.3x	8.6x	0%	2.3%	61
recession	2%	5.6x	9.2x	100%	3.7%	300
higher for longer	8%	5.3x	8.7x	0%	2.3%	100
disinflation rally	4%	5.2x	8.6x	0%	2.3%	15
stagflation	0%	5.6x	9.2x	100%	4.4%	265

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 258 bp against a fair 208 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: B (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	+28%	+33%
Sector only	+56%	+56%
Rating only	+55%	+42%

SPiDER (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 20% of the peer bonds across all sectors, and -69% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 50% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 67%) and the stock's 3-month return (-12.0%, rank 34%). It has no weight in the score. **Against CCL.** Spreads at 5 years: CCL 129 bp, NCLH 258 bp.

Spread per	CCL	NCLH	Cheaper
turn of leverage	37	45	NCLH

The fair line favours long NCLH, short CCL: a gap of 3 bp, which halves in about 3 weeks on six months of trades. Under the stories the pair earns soft landing +6, recession +156, higher for longer +35, disinflation rally -28, stagflation +118 bp a year; weighted +11 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 68 bp a year before trading costs, -100 bp after. It does not beat costs. The expected default loss is charged on the price paid: 64% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	2.1%	2.3%	0.2%	open	not tested
Breakeven default probability, 12 months (loss on price)	4.0%	2.3%	-1.7%	2.0%	no
Leverage the spread is pricing	6.37	5.68	-0.69	0.90	no
Spread against fair (bp)	258	208	-50	58	no
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Little of the earnings turns into free cash. Tracked by: cash conversion (fcf / ebitda) (-0.44). Resolves when: growth spending ends.
- Free cash flow repays little debt. Tracked by: free cash flow / debt (-0.08). Resolves when: free cash flow turns positive.

Measure	Value	Band
Cash conversion (FCF / EBITDA)	-0.44	red
Free cash flow / debt	-0.08	red
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	2.00	amber
Margin trend (t-statistic)	-0.46	amber
Chance debt due in 1 year is not covered	0.15	amber
Cash to meet debt due in 1 year (base case)	1.80	green
Weight on the downside cases	0.15	green
Chance cash runs out within 2 years	0.04	green
Coverage	n/a	n/a
Fixed-charge cover	n/a	n/a

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: against owning. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is -215 bp a year before trading costs (costs are 168 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 6 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: watchlist.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	-215	100%	-215	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $2.6bn. The company's own measure adds back $0.2bn of one-off items to reach $2.7bn: 6.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is above the 5% line the lender's checklist sets for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $-1.4bn. The two roads to free cash flow (the EBITDA bridge, n/a; operating cash flow less capital spending, $-1.2bn) differ by n/a of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The filing states these maintenance tests. We test them on our own ratio, which uses our EBITDA, not the covenant's, and the whole group.

Test	Level	Our ratio	Headroom	Band	Notes
an EBITDA to consolidated debt service ratio	1.25	n/a	n/a	open	only tested below a trigger; EBITDA / (cash interest + debt due in 12 months)
free liquidity	250.00	218.10	-15%	proxy only (open)	our ratio is only a bound for this test; cash only (unused lines not tagged)

No test can be read on our own ratio: each one binds a narrower group of debt or needs the credit lines. Headroom stays an open question; it does not move the watchlist.

G3.3 Watchlist and trajectory

Watchlist tier: **watchlist** because free cash flow is negative. EBITDA against the same months a year earlier: 10.3% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	4.9%
EBITDA	deteriorating	observation	-1.5%
EBITDA margin	deteriorating	observation	-6.1%
cash conversion	deteriorating	observation	-61.4%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: leans to owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is +52 bp a year before trading costs (costs are 168 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 3 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+23	15%	+3	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+0	15%	+0	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	+132	53%	+70	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-124	18%	-22	Dynkin et al. ch. 14

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$2.7bn
less capital spending	$3.3bn
less cash interest	n/a
less cash taxes	$0.0bn
less increase in working capital	$-0.1bn
Free cash flow	**n/a**
Check: free cash flow before capital spending less operating cash flow	n/a
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	n/a	Debt / EBITDA	5.7x
(EBITDA − capex) / interest	n/a	Net debt / EBITDA	5.6x
(EBITDA − maintenance capex) / interest	n/a	Free cash flow / debt	-8.0%
EBITDA / debt (highest rate at 1x cover)	18.0%	Market value / EBITDA	9.2x
Equity cushion (1 − debt / market value)	38%	Spread per turn of leverage	45 bp

Kricheff's snapshot rule: operating cash flow does not cover capital spending, so the issuer lives on the capital markets and needs the detailed liquidity work of section G1.4. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	61%	7.9	57.5%	78.5%
Funds from operations / debt	13%	8.9	19.5%	10.8%
Free operating cash flow / debt	-8%	9.9	8.5%	2.5%
EBITDA / interest (with lease interest)	n/a	n/a	3.2x	1.8x
EBITDA margin	27%	3.0		

Financial risk score 7.7. Business risk score 4.5: industry 5, steadiness of sales 3 (year-on-year growth varies by 4.1%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 6.3: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

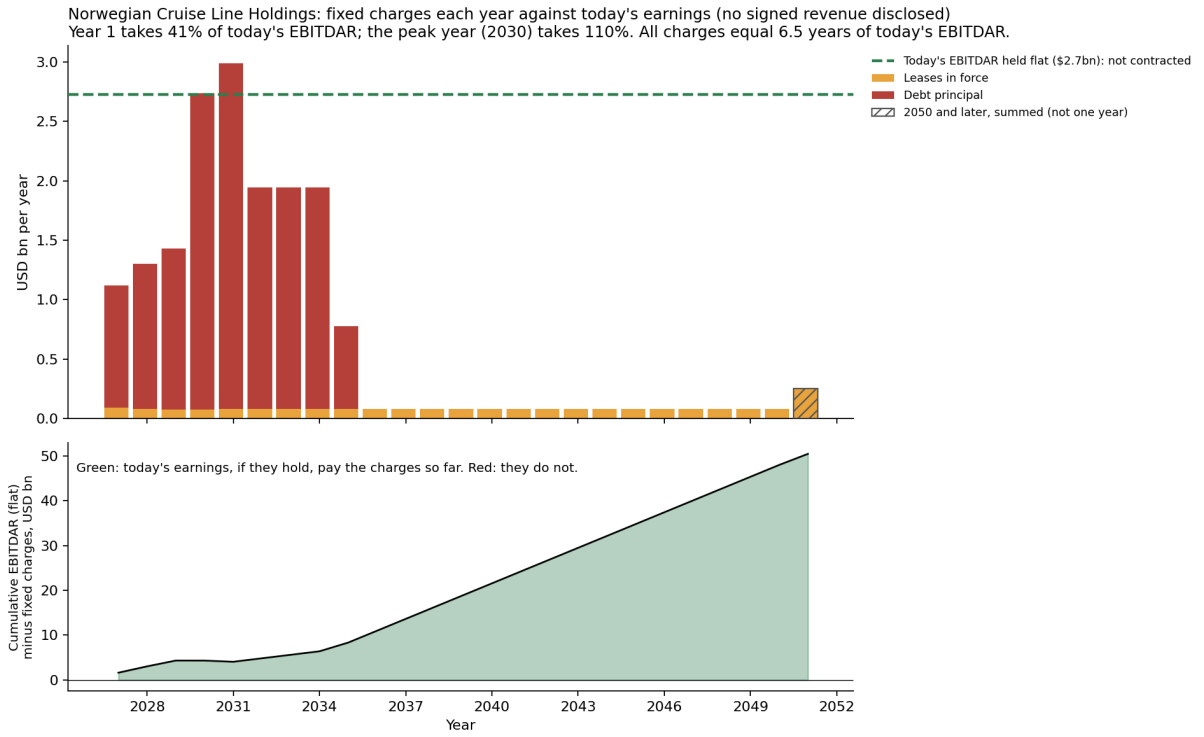
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-11-02 (estimate).
- Debt due by 0.5 years out: - $0.5bn.

Open questions, most important first:

1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Covenant 'free liquidity': our ratio is only a bound for this test (subsidiary group, narrower debt, or untagged credit lines); read the credit agreement definition.
6. The funding gap opens only because no revolver capacity is tagged: read the credit facility note before using the gap.
7. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
8. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
9. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
10. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).

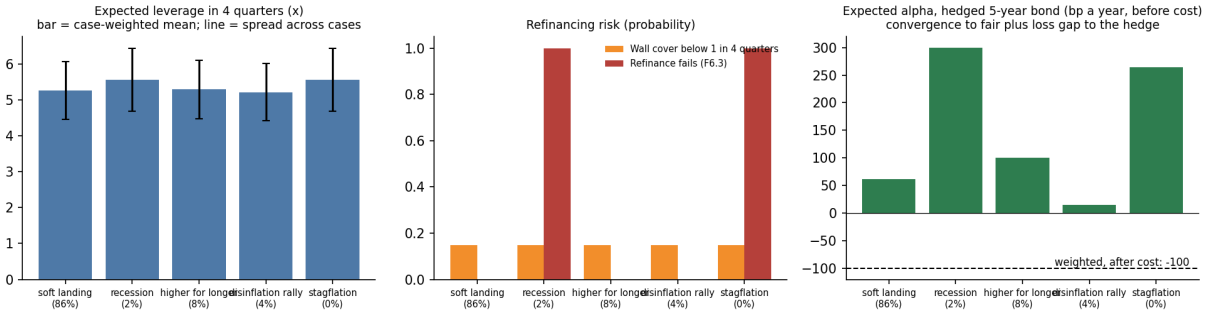
Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



Source: Norwegian Cruise Line Holdings SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

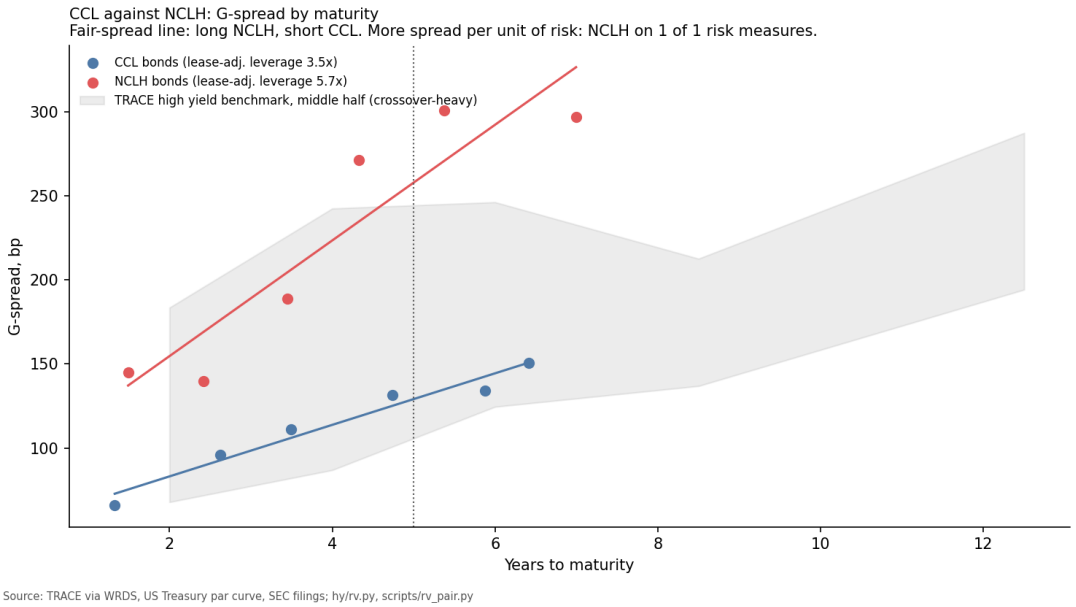
The two clocks (section G2.1).

Norwegian Cruise Line Holdings (NCLH) under each macro path; archetype A5, phase expansion



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

MGM Resorts International (MGM)

Recommendation. Pass. This is a view of the company, not a trade: the expected profit does not beat trading costs; the checks point in different directions. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 7 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	-4	40%	-2	against owning
G2 clocks. Two clocks	-108	20%	-22	against owning
G2 rest. Built methods (rest)	-86	18%	-15	against owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	+88	17%	+15	leans to owning
Combined, before trading costs			**-24**	
Trading costs			-172	
Combined, after trading costs			**-196**	
Weighted cases and stories alone, after costs			-395	
Calibrated: after-cost number x measured slope 0.079			-15	

Against the weighted cases and stories alone, the combination is 199 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -15 bp a year after costs (-49 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: against owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is -4 bp a year before trading costs (costs are 172 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 6 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-26	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	-167	25%	-42	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+96	25%	+24	F4; RV PDF E75-E76
Debt against market value	+66	25%	+17	F7.7
Return above cash, repriced in every story	-13	25%	-3	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 175 bp over Treasuries at 5 years. A company with its leverage (6.4x with leases) pays 258 bp on the fair line, so the bond is expensive by 84 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** MGM Resorts International is referred to as the "Company," "MGM Resorts," or the "Registrant," and together with its subsidiaries may also be referred to as "we," "us" or "our." Overview MGM Resorts International is a Delaware corporation incorporated in 1986 that acts largely as a holding company and, through subsidiaries, is a global gaming and entertainment company with domestic and international locations featuring best-in-class hotels and casinos, state-of-the-art meeting and conference spa
2. **How it earns:** revenue 17.8bn a year at a 14% EBITDA margin.
3. **What it must spend to stand still:** rent of about $2.3bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** an asset-specific shock or a block on distributions.

Business type: A7.

G1.3 Earnings, normalised

Last 12 months: EBITDA $2.4bn at a 14% margin; margin trend over 8 quarters 1.2 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.3bn. Free cash flow $1.5bn: 62% of EBITDA. Earnings-quality flags raised: EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.8bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$2.7bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$1.1bn
Cash to meet debt due in a year, base case	3.32x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($1.2bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$1.1bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$1.1bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$-0.4bn
Severe case with all capital spending: first quarter below zero	quarter 8
Lowest point, weighted over the stories	$1.1bn
Debt due inside 8 quarters, share of all debt	42%

Refinancing shock. $2.6bn falls due in the next two years. It pays about 4.75% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.1bn (2.2% of EBITDA). Interest cover after refinancing: 5.5x; after capital spending 3.3x. Free cash flow after the shock: 23.8% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$6.1bn
Lease liabilities	$24.1bn
EBITDA, last 12 months	$2.4bn
Debt / EBITDA	2.5x
(Debt + leases) / (EBITDA + rent)	6.4x
Net debt / EBITDA	1.5x
Coverage (after all capital spending)	3.8x
Fixed-charge cover (after maintenance spending)	1.40x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
552953CH2	4.75%	2028-10-15	99.3	5.12%	44
552953CK5	6.12%	2029-09-15	100.5	5.88%	113
552953CJ8	6.50%	2032-04-15	98.9	6.73%	193

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $16bn (shares $12bn plus net debt): 6.5x EBITDA; debt is 39% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (552953CJ8, 6.50% due 2032-04-15, price 98.93 plus 2.75 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 66% of the price paid.

Measure	Value
Expected return above cash, bp a year	-13
Chance of a loss over six months	11.2%
Chance of doing worse than cash	11.2%
Average loss in the worst 5% of outcomes	14.4%
Same, with rates and the market hedged out, bp a year	-208
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	+460

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -86 bp a year before trading costs (costs are 172 bp a year); 3 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 7 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	+7	42%	+3	Spec S14 E0; K15
Weighted cases and stories	-223	25%	-56	M5.4, M7.5
Spread against the fair line	-200	17%	-33	M7.4, M7.5
The pair	-109	8%	-9	M7.4; F10 S4
Health panel	+117	8%	+10	F8

G2.1 The two clocks: bills against what pays for them

Verdict: against owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is -108 bp a year before trading costs (costs are 172 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 6 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	-108	100%	-108	M4.7

Fixed bills total $59.2bn, centred 12.2 years out: leases in force $52.7bn, debt principal $6.3bn, interest $0.3bn. That is 12.5 years of today's EBITDAR; next year's bills take 82% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	60%	0.8%	2.4x	2.4x	$3.0bn	no	no
down moderate	15%	1.2%	3.4x	3.4x	$3.1bn	no	no
down severe	5%	1.1%	5.6x	5.6x	$2.9bn	no	no
upside	20%	1.1%	1.8x	2.3x	$3.1bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	2.6x	5.6x	0%	1.8%	-214
recession	2%	2.8x	6.1x	0%	4.6%	-556
higher for longer	8%	2.6x	5.7x	0%	2.1%	-254
disinflation rally	4%	2.6x	5.6x	0%	1.7%	-186
stagflation	0%	2.8x	6.1x	0%	4.7%	-565

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 175 bp against a fair 258 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: IG (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	+24%	-21%
Sector only	+6%	+138%
Rating only	+24%	-21%

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 68% of the peer bonds across all sectors, and -24% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 56% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 64%) and the stock's 3-month return (-5.3%, rank 49%). It has no weight in the score. **Against WYNN.** Spreads at 5 years: MGM 175 bp, WYNN 165 bp.

Spread per	MGM	WYNN	Cheaper
turn of leverage	27	28	WYNN

The fair line favours long WYNN, short MGM: a gap of 13 bp, which halves in about 2 weeks on six months of trades. Under the stories the pair earns soft landing +56, recession +146, higher for longer +67, disinflation rally +63, stagflation +149 bp a year; weighted +59 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -223 bp a year before trading costs, -395 bp after. It does not beat costs. The expected default loss is charged on the price paid: 66% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.4%	1.9%	0.4%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.7%	1.9%	-0.8%	1.3%	no
Leverage the spread is pricing	5.12	6.38	1.26	0.90	yes
Spread against fair (bp)	175	258	84	72	yes
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Fixed-charge cover	1.40	amber
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	1.00	amber
Coverage	3.77	green
Cash conversion (FCF / EBITDA)	0.62	green
Free cash flow / debt	0.25	green
Cash to meet debt due in 1 year (base case)	3.32	green
Margin trend (t-statistic)	1.23	green
Weight on the downside cases	0.20	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 172 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $2.0bn. The company's own measure adds back $0.3bn of one-off items to reach $2.4bn: 17.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is above the 5% line the lender's checklist sets for one item. The total is above 10%. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $1.2bn. The two roads to free cash flow (the EBITDA bridge, $1.3bn; operating cash flow less capital spending, $1.5bn) differ by 7% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: n/a (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	1.0%
EBITDA	open	no data	n/a
EBITDA margin	open	no data	n/a
cash conversion	open	no data	n/a

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)

- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: leans to owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is +88 bp a year before trading costs (costs are 172 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 2 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	-308	15%	-45	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+56	15%	+8	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	+116	53%	+62	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	+363	18%	+64	Dynkin et al. ch. 14

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$2.4bn
less capital spending	$1.0bn
less cash interest	$0.4bn
less cash taxes	$-0.2bn
less increase in working capital	$-0.1bn
Free cash flow	**$1.3bn**
Check: free cash flow before capital spending less operating cash flow	$-0.2bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	6.3x	Debt / EBITDA	2.5x
(EBITDA − capex) / interest	3.8x	Net debt / EBITDA	1.4x
(EBITDA − maintenance capex) / interest	3.9x	Free cash flow / debt	25.0%
EBITDA / debt (highest rate at 1x cover)	40.0%	Market value / EBITDA	6.4x
Equity cushion (1 − debt / market value)	60%	Spread per turn of leverage	69 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	71%	8.8	57.5%	78.5%
Funds from operations / debt	8%	9.6	19.5%	10.8%
Free operating cash flow / debt	5%	8.7	8.5%	2.5%
EBITDA / interest (with lease interest)	1.7x	9.6	3.2x	1.8x
EBITDA margin	14%	5.0		

Financial risk score 8.6. Business risk score 5.0: industry 6, steadiness of sales 3 (year-on-year growth varies by 2.9%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 7.0: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

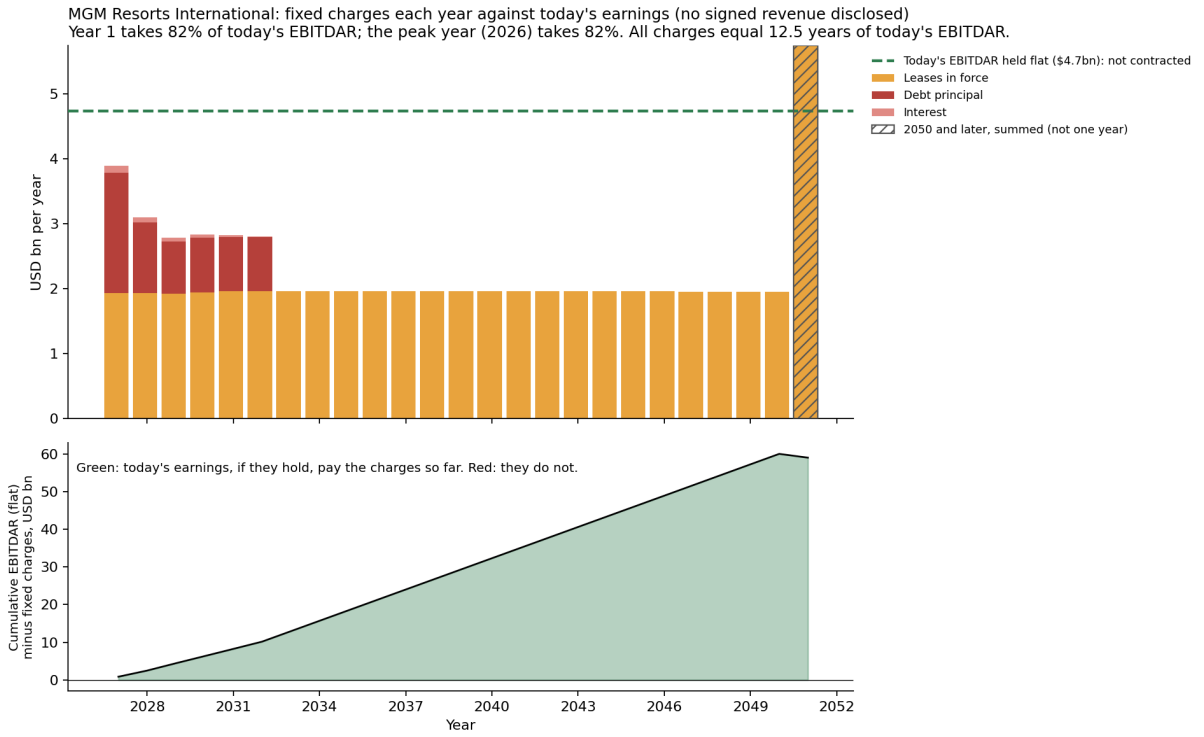
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-10-29 (estimate).
- Debt due by 1.0 years out: - $1.1bn.

Open questions, most important first:

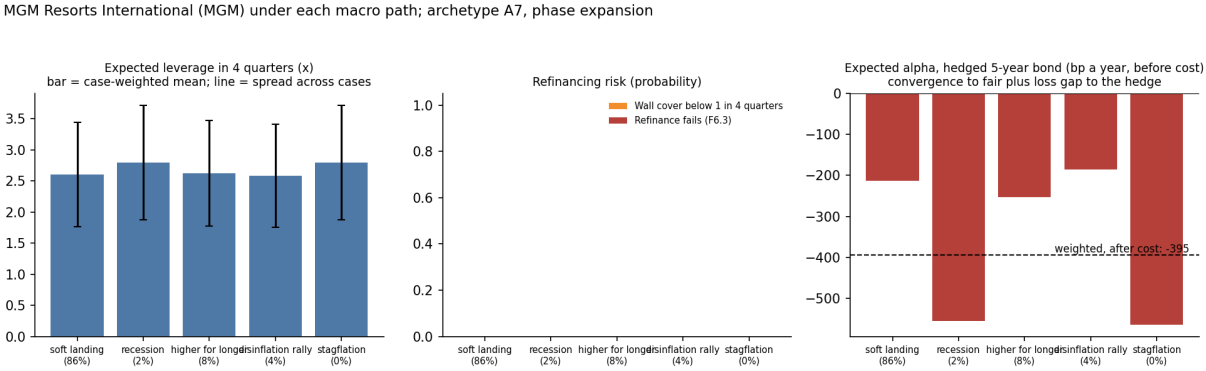
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



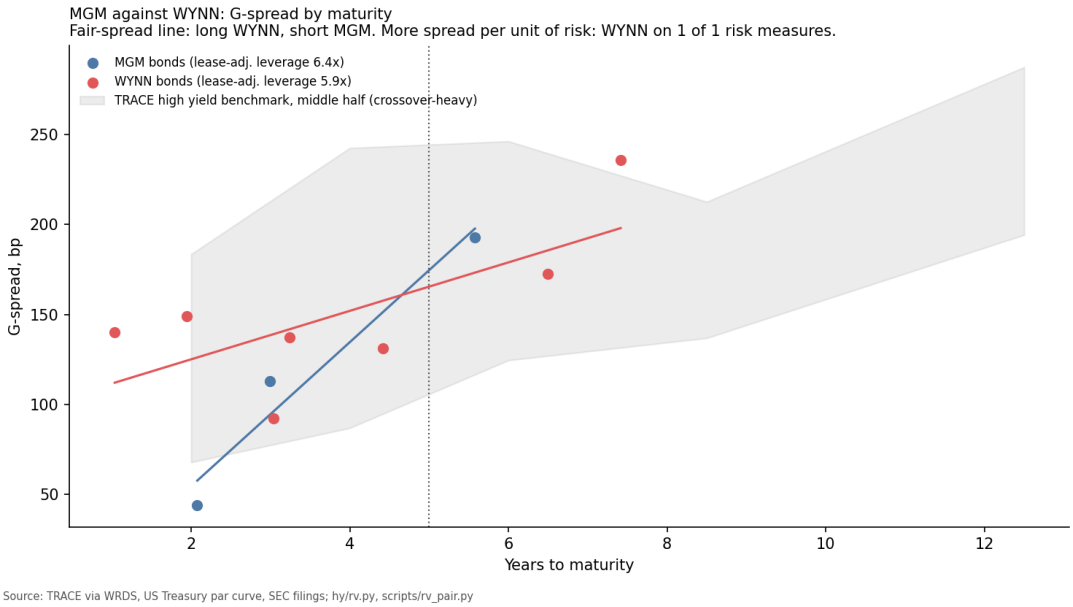
Source: MGM Resorts International SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).

Wynn Resorts (WYNN)

Recommendation. Pass. This is a view of the company, not a trade: the expected profit does not beat trading costs; the checks point in different directions. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 8 of the issuers in this run. 3 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	-22	40%	-9	against owning
G2 clocks. Two clocks	+4	20%	+1	leans to owning
G2 rest. Built methods (rest)	-58	18%	-10	against owning
G3. Credit skills	+0	5%	+0	no objection
G4. Books and peers	-141	17%	-24	against owning
Combined, before trading costs			**-42**	
Trading costs			-172	
Combined, after trading costs			**-214**	
Weighted cases and stories alone, after costs			-336	
Calibrated: after-cost number x measured slope 0.079			-17	

Against the weighted cases and stories alone, the combination is 122 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -17 bp a year after costs (-54 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: against owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is -22 bp a year before trading costs (costs are 172 bp a year); 2 of 4 of its weighted estimates point the same way. It carries 40% of the combined view and ranks 7 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	-20	0%	-0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+96	25%	+24	F4; RV PDF E75-E76
Debt against market value	-178	25%	-44	F7.7
Return above cash, repriced in every story	-6	25%	-2	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 165 bp over Treasuries at 5 years. A company with its leverage (6.0x with leases) pays 226 bp on the fair line, so the bond is expensive by 60 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** Wynn Resorts, Limited ("Wynn Resorts," "Wynn," or together with its subsidiaries, "we" or the "Company") is a preeminent designer, developer, and operator of integrated resorts featuring luxury hotel rooms, high-end retail space, an array of dining and entertainment options, meeting and convention facilities, and gaming, all supported by an unparalleled focus on our guests, our people, and our community. We believe that our extensive design and operational experience across numerous gaming juris
2. **How it earns:** revenue 7.4bn a year at a 24% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** an asset-specific shock or a block on distributions.

Business type: A7.

G1.3 Earnings, normalised

Last 12 months: EBITDA $1.8bn at a 24% margin; margin trend over 8 quarters -1.6 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.0bn. Free cash flow $0.8bn: 44% of EBITDA. Earnings-quality flags raised: EQ5 recurrence, FCF check (waterfall against OCF less capex) (of 5 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.1bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.0bn
Liquidity	$2.1bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$0.0bn
Cash to meet debt due in a year, base case	347.38x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($0.5bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$1.2bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$1.2bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$0.2bn
Severe case with all capital spending: first quarter below zero	no gap in 8 quarters
Lowest point, weighted over the stories	$1.2bn
Debt due inside 8 quarters, share of all debt	27%

Refinancing shock. $2.9bn falls due in the next two years. It pays about 5.56% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.0bn (1.8% of EBITDA). Interest cover after refinancing: 2.7x; after capital spending 1.7x. Free cash flow after the shock: 7.1% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$10.7bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$1.8bn
Debt / EBITDA	6.0x
(Debt + leases) / (EBITDA + rent)	6.0x
Net debt / EBITDA	5.1x
Coverage (after all capital spending)	1.8x
Fixed-charge cover (after maintenance spending)	1.86x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
98313RAD8	5.50%	2027-10-01	99.7	5.81%	140
98313RAH9	5.63%	2028-08-26	99.1	6.14%	149
983133AA7	5.12%	2029-10-01	98.5	5.67%	92
98313RAE6	5.12%	2029-12-15	97.1	6.13%	137
983133AC3	7.12%	2031-02-15	103.8	6.08%	131
983133AD1	6.25%	2033-03-15	98.3	6.57%	173

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $19bn (shares $10bn plus net debt): 10.6x EBITDA; debt is 56% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (983133AC3, 7.12% due 2031-02-15, price 103.79 plus 0.62 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 67% of the price paid.

Measure	Value
Expected return above cash, bp a year	-6
Chance of a loss over six months	9.4%
Chance of doing worse than cash	9.4%
Average loss in the worst 5% of outcomes	12.1%
Same, with rates and the market hedged out, bp a year	-142
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	+452

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -58 bp a year before trading costs (costs are 172 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 18% of the combined view and ranks 5 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-2	42%	-1	Spec S14 E0; K15
Weighted cases and stories	-164	25%	-41	M5.4, M7.5
Spread against the fair line	-144	17%	-24	M7.4, M7.5
The pair	+109	8%	+9	M7.4; F10 S4
Health panel	-6	8%	-1	F8

G2.1 The two clocks: bills against what pays for them

Verdict: leans to owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +4 bp a year before trading costs (costs are 172 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 5 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+4	100%	+4	M4.7

Fixed bills total $16.7bn, centred 5.9 years out: leases in force $4.3bn, debt principal $10.6bn, interest $1.8bn. That is 9.3 years of today's EBITDAR; next year's bills take 115% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	60%	1.6%	5.6x	5.9x	$2.4bn	no	no
down moderate	15%	1.9%	6.7x	6.7x	$2.3bn	no	no
down severe	5%	1.9%	9.3x	9.3x	$2.2bn	no	no
upside	20%	1.8%	4.8x	5.5x	$2.4bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	5.8x	9.3x	0%	1.6%	-158
recession	2%	6.2x	10.0x	0%	4.1%	-409
higher for longer	8%	5.8x	9.4x	0%	1.9%	-187
disinflation rally	4%	5.7x	9.2x	0%	1.2%	-123
stagflation	0%	6.2x	10.0x	0%	4.1%	-416

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 165 bp against a fair 226 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: B (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-34%	-35%
Sector only	-1%	-13%
Rating only	-3%	-14%

SPiDER (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 24% of the peer bonds across all sectors, and -65% against sector and rating peers. It enters the score as E15 at 3%. Its edge beyond spread level is small (t 1.3 at 12 months). **OneScore** (Dynkin et al. 2021, ch. 19): 30% of the way from the bottom to the top of its sector. It averages two sector ranks: value (ESP, 19%) and the stock's 3-month return (-9.6%, rank 42%). It has no weight in the score. **Against MGM.** Spreads at 5 years: MGM 175 bp, WYNN 165 bp.

Spread per	MGM	WYNN	Cheaper
turn of leverage	27	28	WYNN

The fair line favours long WYNN, short MGM: a gap of 13 bp, which halves in about 2 weeks on six months of trades. Under the stories the pair earns soft landing +56, recession +146, higher for longer +67, disinflation rally +63, stagflation +149 bp a year; weighted +59 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -164 bp a year before trading costs, -336 bp after. It does not beat costs. The expected default loss is charged on the price paid: 67% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.4%	1.6%	0.3%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.5%	1.6%	-0.8%	1.2%	no
Leverage the spread is pricing	4.95	5.95	1.00	0.90	yes
Spread against fair (bp)	165	226	60	63	no
Rating class	open	BB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Margins are falling. Tracked by: margin trend (t-statistic) (-1.61). Resolves when: two quarters of stable margins.

Measure	Value	Band
Margin trend (t-statistic)	-1.61	red
Coverage	1.80	amber
Free cash flow / debt	0.07	amber
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	2.00	amber
Fixed-charge cover	1.86	green
Cash conversion (FCF / EBITDA)	0.44	green
Cash to meet debt due in 1 year (base case)	347.38	green
Weight on the downside cases	0.20	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 172 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 5% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $1.8bn. The company's own measure adds back $0.0bn of one-off items to reach $1.8bn: 0.0% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $0.8bn. The two roads to free cash flow (the EBITDA bridge, $0.4bn; operating cash flow less capital spending, $0.8bn) differ by 21% of EBITDA: above the 10% tolerance, so an earnings-quality flag is raised. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The filing states these maintenance tests. We test them on our own ratio, which uses our EBITDA, not the covenant's, and the whole group.

Test	Level	Our ratio	Headroom	Band	Notes
a Consolidated First Lien Net Leverage Ratio	3.75	4.78	-28%	proxy only (open)	binds a subsidiary group; our ratio is only a bound for this test; net debt / EBITDA

No test can be read on our own ratio: each one binds a narrower group of debt or needs the credit lines. Headroom stays an open question; it does not move the watchlist.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: 0.8% (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	6.9%
EBITDA	improving	data point	10.9%
EBITDA margin	improving	observation	3.8%
cash conversion	improving	trend	27.4%

One quarter is an observation, two a data point, three or four a trend.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)

- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor; spread against peers (Dynkin et al.). Its estimate of expected profit is -141 bp a year before trading costs (costs are 172 bp a year); 4 of 4 of its weighted estimates point the same way. It carries 17% of the combined view and ranks 7 of the issuers on this group alone. S&P anchor class: BB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	-190	15%	-28	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	-106	15%	-16	Kricheff ch. 21
Excess spread to sector and rating peers (ESP)	-157	53%	-83	Dynkin et al. ch. 13
SPiDER: spread per unit of debt to 10-year EBITDA	-79	18%	-14	Dynkin et al. ch. 14

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$1.8bn
less capital spending	$0.7bn
less cash interest	$0.6bn
less cash taxes	$0.1bn
less increase in working capital	$-0.0bn
Free cash flow	**$0.4bn**
Check: free cash flow before capital spending less operating cash flow	$-0.4bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	2.9x	Debt / EBITDA	6.0x
(EBITDA − capex) / interest	1.8x	Net debt / EBITDA	4.8x
(EBITDA − maintenance capex) / interest	1.9x	Free cash flow / debt	7.0%
EBITDA / debt (highest rate at 1x cover)	17.0%	Market value / EBITDA	10.3x
Equity cushion (1 − debt / market value)	43%	Spread per turn of leverage	28 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	52%	6.5	57.5%	78.5%
Funds from operations / debt	13%	8.9	19.5%	10.8%
Free operating cash flow / debt	7%	7.9	8.5%	2.5%
EBITDA / interest (with lease interest)	2.9x	8.0	3.2x	1.8x
EBITDA margin	24%	3.0		

Financial risk score 7.2. Business risk score 5.5: industry 6, steadiness of sales 5 (year-on-year growth varies by 5.8%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 6.4: the **BB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

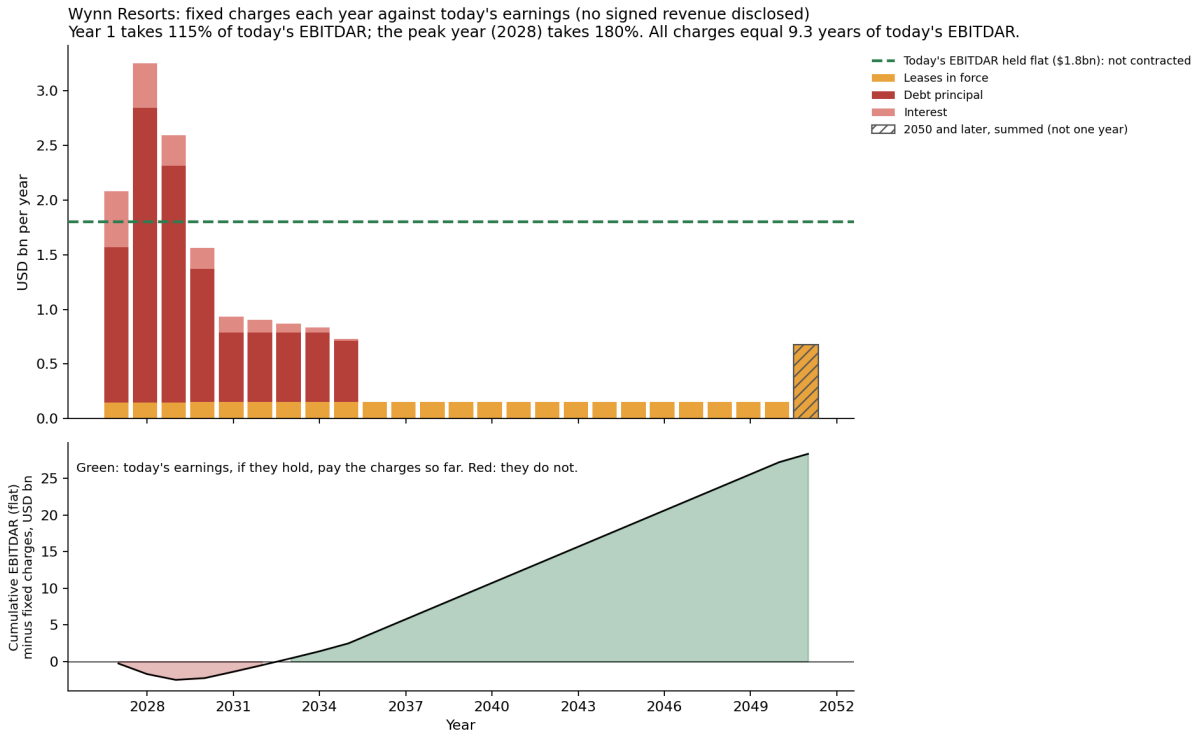
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-11-05 (estimate).
- Debt due by 1.0 years out: - $0.0bn.

Open questions, most important first:

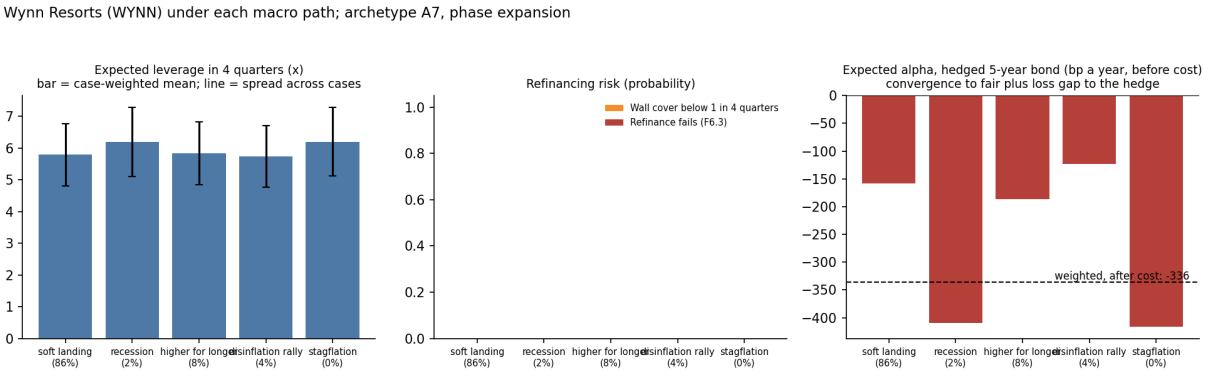
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Covenant 'a Consolidated First Lien Net Leverage Ratio': our ratio is only a bound for this test (subsidiary group, narrower debt, or untagged credit lines); read the credit agreement definition.
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



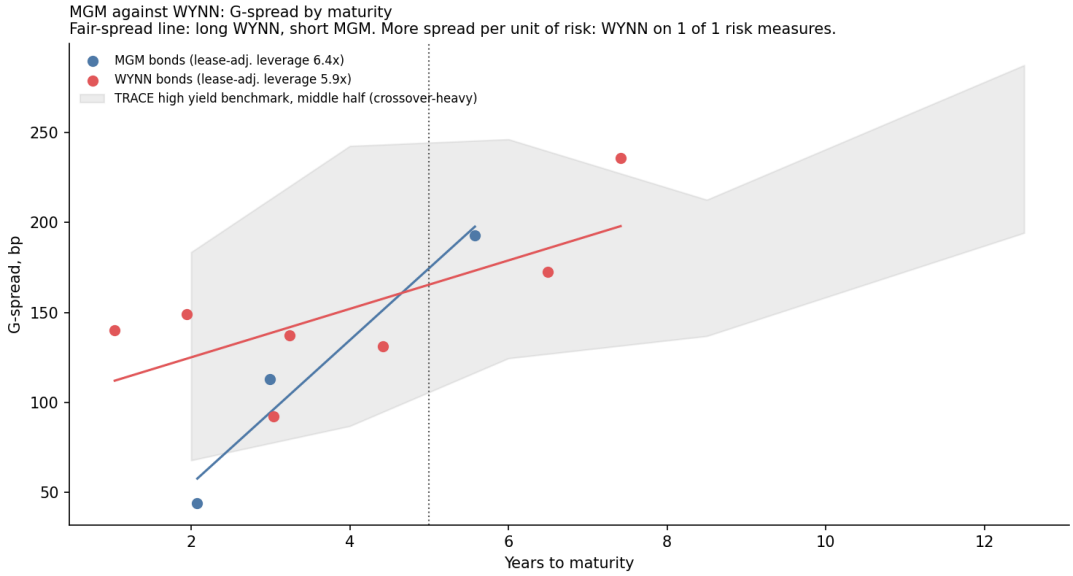
Source: Wynn Resorts SEC filings as of 2026-06-30 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).